



Hiring, Compensation & Benefits Report 2025

Your essential guide to attract,
motivate, and retain top talent.

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About the study

Ready to navigate the dynamic landscape of Malaysia's job market in 2025?

We are proud to share with you the latest edition of our **Hiring, Compensation and Benefits** report. Part of our Signature Report series (ongoing since 2022), this report delves into the outlook of the hiring market, hiring activity and plans, compensation and benefits offered by companies, with a focus on AI in hiring and workplace diversity, equity and inclusion (DEI).

With data gathered from 2,279 hirers and HR professionals across a diverse range of industries and job roles in Malaysia, the Hiring, Compensation and Benefits 2025 report for the Malaysian market reflects SEEK's commitment to your success. More than just a collection of facts and figures, it's a roadmap to attract top-tier talent and nurture their growth in a workplace culture that aligns seamlessly with the Malaysian work environment.

We present this to you as part of our ongoing commitment as your **No.1 Trusted Talent Partner in Asia**. These results provide deep actionable insights for your market, enabling you to better connect talent to **#BetterMatches**.

Key findings from this report include:

- ✓ Hiring outlook in the market
- ✓ Improvements in compensation offered by other companies in the market
- ✓ Benefits offered by companies to attract and retain highly-skilled talent
- ✓ General perceptions of AI in hiring and DEI initiatives

Disclaimer: In some occurrences in this report, it is possible that percentages do not add up to or exceed 100% as a result of rounding of numeral fractions.

Presented by:



Foreword

Aimee Hutton

Head of APAC Marketing Strategy



To say that 2024 was a year of significant change is an understatement. Companies and talent alike are now navigating a world where technological advancements, economic shifts and societal values are reshaping expectations and possibilities. At SEEK, we are proud to be at the forefront of this evolution, constantly innovating to meet the dynamic needs of employers and job seekers in Malaysia and beyond.

Everything we do at SEEK adopts a customer-first mindset. We understand that employers and talent have preferences and needs that are ever-changing. Whether it's a shift in hiring trends, the growing focus on compensation and benefits, or the increasing importance of diversity in the workplace, we strive to stay one step ahead so that you're ahead of the curve. Our purpose has never wavered: to help people live more fulfilling and productive working lives, and help organisations succeed.

To serve this purpose, we completed a three-year product-unification programme that brought together our Jobstreet, Jobsdb and SEEK platforms under one cohesive framework. This monumental effort was designed to provide greater access to talent and job opportunities, improve search and match relevance, and enhance the overall user experience. With this unified platform, we can now innovate faster, roll out new products and features more efficiently across the region, and create unparalleled value for our users. Whether you're an employer looking for the right talent or a professional seeking your next career move, our platform offers the tools and support to make that connection seamless and meaningful.

This report digs deep into core factors that affect the workforce's motivations - namely Hiring Trends, Compensation and Benefits. You'll discover some of the most common full-time functions hired over the past year, the key reasons for shifting headcounts, as well as the average performance bonuses and salary increments given out in 2024. The report also sheds light on how flexibility, well-being, and fairness are becoming core pillars of competitive workplace offerings.

Foreword



Another critical theme explored in this report is the growing emphasis on diversity, equity and inclusion (DEI) in the workplace. In Malaysia and across the region, businesses are recognising that fostering a diverse and equitable workplace is not only a moral imperative but also a strategic advantage. By embracing DEI, companies can tap into a wider range of perspectives, ideas and talents – driving innovation and long-term success.

Some of the key trends highlighted in the report:

- ✓ **Hiring plans for H1 2025:** It is forecasted that Malaysia's 2025 GDP growth will be at 4.6% and close to half expressed plans to expand their permanent workforce in the first half of 2025.
- ✓ **AI's increasing influence:** 70% of businesses consider candidates' AI knowledge during hiring, while 36% of companies see AI knowledge as highly important.
- ✓ **Diversity and inclusivity needs more prioritisation:** Malaysia's DEI still has room for improvement, as only 2 out of 5 companies adopt DEI initiatives, while 25% will not adopt any DEI initiative in the next 12 months.

As we navigate these exciting changes, SEEK remains committed to its ambition: to help 500 million people develop their careers and connect five million companies with the right talent. The findings presented in this report are a testament to our dedication to understanding the needs of our customers and delivering solutions that make a meaningful impact. We hope these insights will empower you to navigate the challenges and opportunities of the modern workplace with confidence.

We'll continue to see you into the new year with SEEK as your partner in this journey. Together, we are shaping the future of work, connecting the right people to the right job opportunities.

Aimee Hutton
Head of APAC Marketing Strategy, SEEK



Demographics and methodology

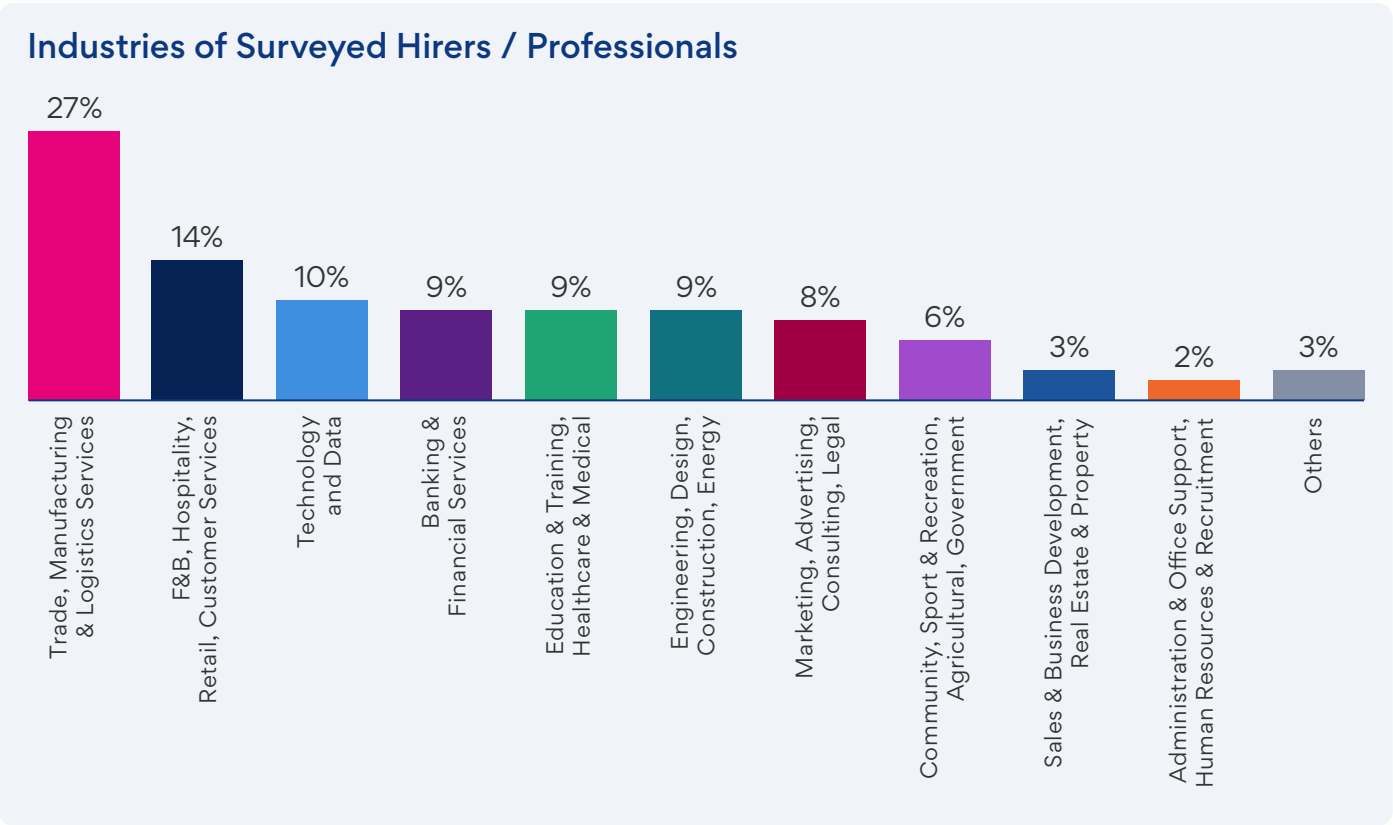
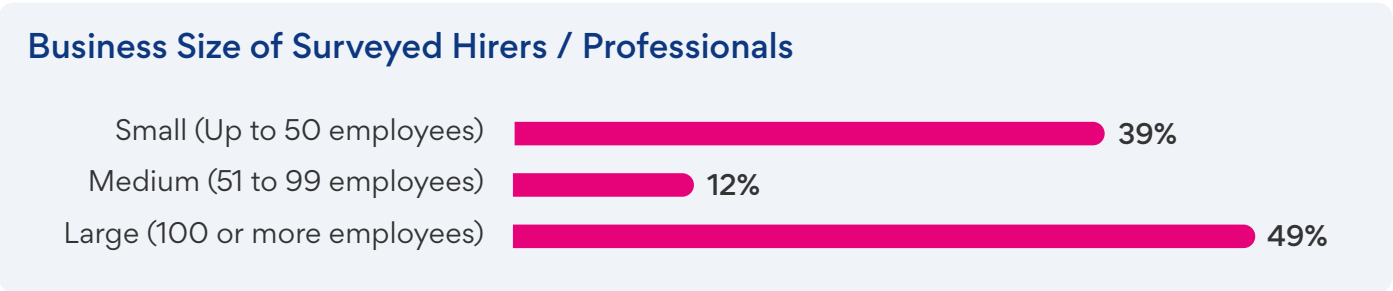
For this report, we spoke to **2,279** hirers and HR professionals in Malaysia between September and October 2024. A diverse range of industries and company sizes was included to ensure a balanced and unbiased result. The data was subsequently weighted according to Jobstreet by SEEK Malaysia’s hirer distribution.

Survey Participants in Malaysia

2,279

Survey Period: Sep – Oct 2024

Survey Methodology:
Self-completed online survey distributed to hirers and HR professionals via email.



Section 1

Hiring trends: today and tomorrow



« Hiring the best is your most important task. »

-Steve Jobs

The first section of the report examines both past and future hiring trends, offering valuable insights into the evolving job market. These insights can help employers refine their recruitment strategies and empower job seekers to better prepare for opportunities in the year ahead.

This section addresses the following questions:

- 1 How active is the local hiring market and what is the outlook for the next year?
- 2 What are the hiring activities in 2024, and what types of employees and job functions were hired?
- 3 What are the workforce reducing activities in 2024, and which types of employees and job functions were let go?
- 4 What are the future hiring plans for permanent employees?
- 5 What are the future hiring plans for contract or temporary employees?



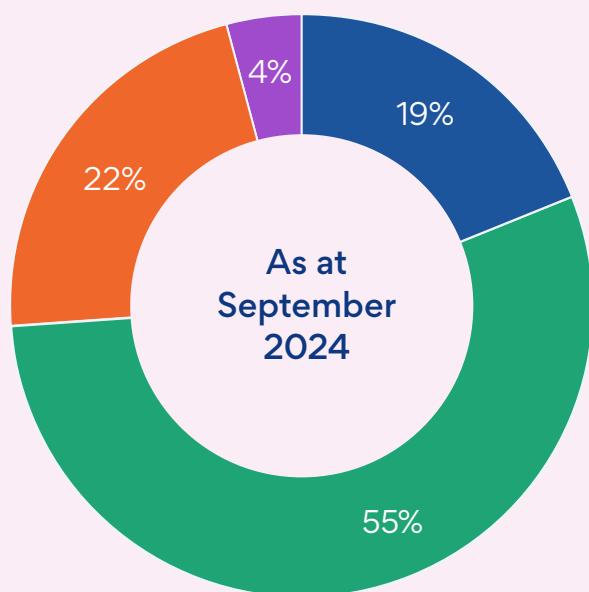
Employment market expectations

Despite much economic uncertainty globally and in Malaysia in 2024, the Malaysian job market has demonstrated resilience. 74% of respondents believe that the Malaysian job market is active in 2024.

Confidence remains high for 2025. 39% is confident that the job market will be more active, while 44% think it will be as active in the first half of the year as it is today – reflecting a strongly optimistic outlook of the marketplace.

However, 9% are uncertain about the outlook in the second half of 2025 - which could be influenced by various factors such as economic conditions and global events.

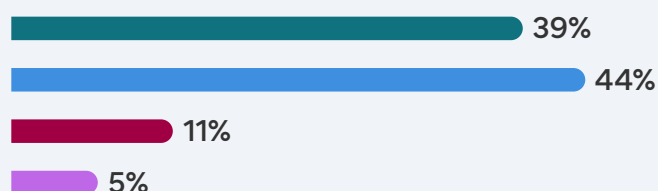
Activity level in Malaysia's job market in 2024



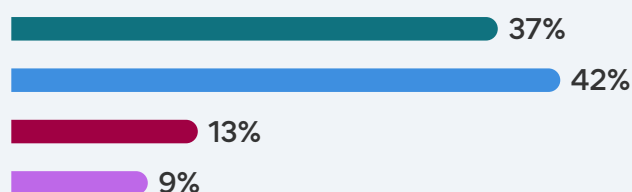
- Very Active
- Active
- Neither
- Inactive / Very Inactive

Forecast on activity level in Malaysia's job market in 2025

Jan - June 2025



Jul - Dec 2025



- More active than 2024
- The same
- Less active than 2024
- Not sure

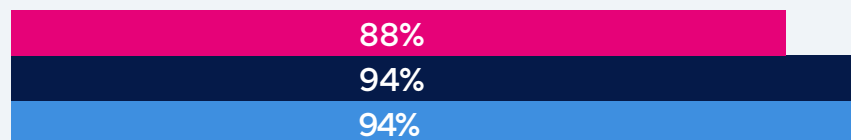
Overview of hiring activity in 2024

According to the Department of Statistics Malaysia (DOSM), employment grew by over 203,000 across Malaysia as of August 2024. The statistic is consistent with our survey where nearly all surveyed companies hired at least one employee during the year, maintaining a strong hiring trend from 2023 at 94%.

Permanent full-time employees continue to account for the majority of hires, accounting for 85% of the new hires. However, the hiring landscape and the types of employment are still changing, with companies opting for more temporary support instead of full-time headcount. The biggest change continues to come from the hiring of part-time, contractual and temporary employees, which increased by approximately 8 to 10 percentage points compared to 2023.

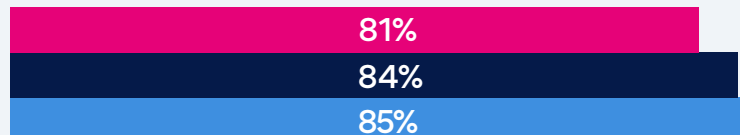
Companies that were actively hiring in year 2024

Companies that hired new employees



Types of new employees hired

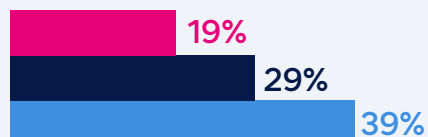
Permanent full-time employees



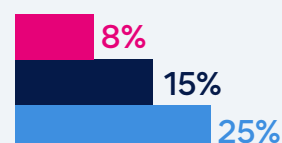
Permanent part-time employees



Contractual/temporary full-time employees



Contractual/temporary part-time employees



● 2022 ● 2023 ● 2024

Overview of hiring activity in 2024

Looking at hiring levels from a broader perspective, more small businesses hired in 2024, which increased to 93% from 88% in the previous year. The growth was primarily driven by an increase in hiring part-time, contractual, and temporary employees.

Large and medium-sized businesses have mainly **maintained their hiring rate** from the previous year. While these businesses are hiring more part-time, contractual, and temporary employees, this growth was offset by a decline in the hiring of permanent full-time employees.

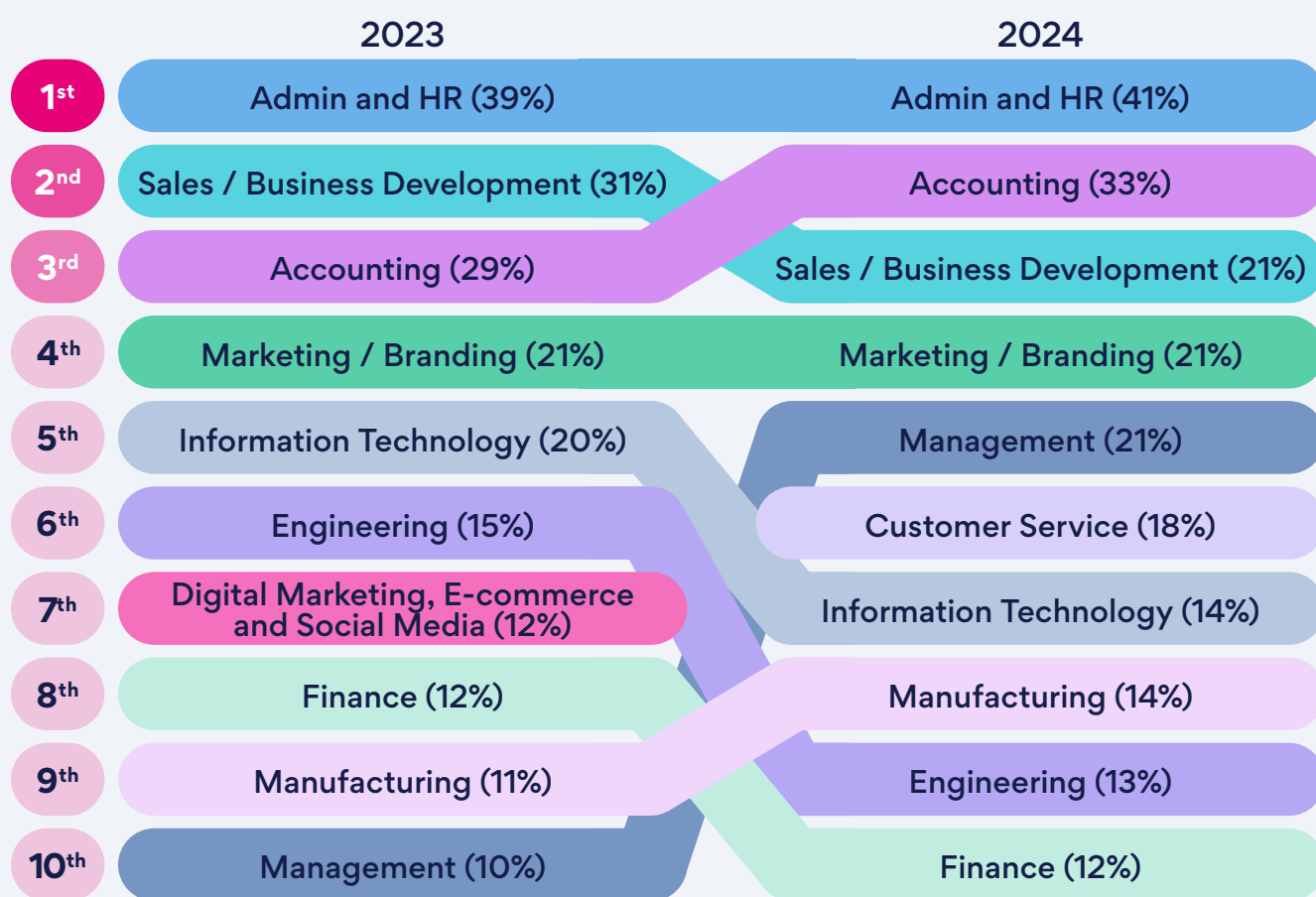
Employers that were actively hiring in 2024 by business size

Small Business (Up to 50 employees)				
	2022	2023	2024	Gap Yoy in p.p.
Base	246	220	890	
Employers that hired new employees	87%	88%	93%	+5
Type of New Employees hired:				
Permanent FT employee (s)	79%	82%	83%	+1
Permanent PT employee (s)	2%	31%	39%	+8
Contractual / temporary FT employee (s)	15%	26%	35%	+9
Contractual / temporary PT employee (s)	8%	15%	24%	+9
Medium Business (51-99 employees)				
	2022	2023	2024	Gap Yoy in p.p.
Base	74	67	275	
Employers that hired new employees	89%	100%	98%	-2
Type of New Employees hired:				
Permanent FT employee (s)	82%	96%	93%	-3
Permanent PT employee (s)	5%	34%	41%	+7
Contractual / temporary FT employee (s)	16%	37%	38%	+1
Contractual / temporary PT employee (s)	8%	24%	29%	+5
Large Business (100 or more employees)				
	2022	2023	2024	Gap Yoy in p.p.
Base	138	167	1114	
Employers that hired new employees	99%	99%	99%	0
Type of New Employees hired:				
Permanent FT employee (s)	93%	98%	94%	-4
Permanent PT employee (s)	9%	36%	50%	+14
Contractual / temporary FT employee (s)	41%	55%	60%	+5
Contractual / temporary PT employee (s)	9%	19%	30%	+11

Overview of hiring activity in 2024

For the 94% of companies that hired in 2024, the top 4 job functions **remained largely unchanged** from 2023. Admin and HR held the top spot at 41%, followed by Accounting (33%) and Sales / Business Development at 21%. The new entry in the top 5 permanent full-time job functions hired was Management roles, also at 21%.

Top 10 permanent full-time job functions hired



Overview of hiring activity in 2024

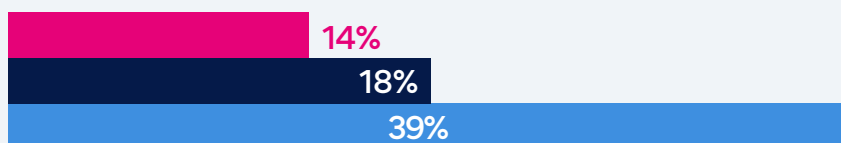
Despite strong hiring trends, many companies also **reduced the size of their workforce**. Workforce reduction in this context refers to either layoffs, retrenchments, or not replacing employees after they resign and leave the organisation.

In 2024, 39% of companies reduced the number of employees hired. Permanent full-time employees accounted for the largest share of those that were let go, at 24%, followed closely by part-time, contractual and temporary employees.

Despite these reductions, it is likely that many of these affected employees found roles in other companies due to the strong hiring trend. National statistics indicated that **employment continued to grow**, and the **unemployment rate declined** from 3.4% to 3.2%.

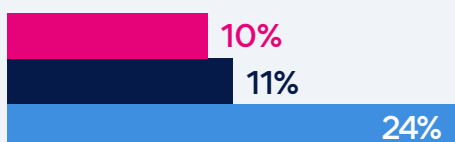
Companies that reduced workforce in 2024

Companies that reduced their workforce

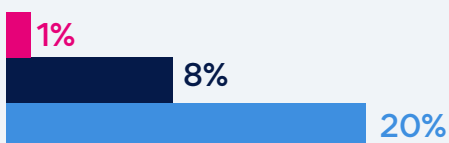


Types of employees that were let go

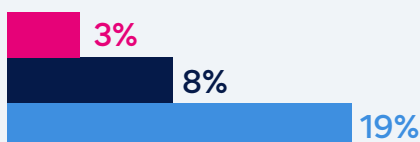
Permanent full-time employees



Permanent part-time employees



Contractual/temporary full-time employees



Contractual/temporary part-time employees



● 2022 ● 2023 ● 2024

Overview of hiring activity in 2024

Large businesses recorded the highest **workforce reduction** in 2024 at 50%, an increase of 29 percentage points (p.p.). from 2023. Similarly, the number of small and medium businesses which reduced their workforce grew by 11 p.p. respectively. The type of employees that were affected cuts across various types of employees.

Companies that reduced workforce in 2024 by Business Size

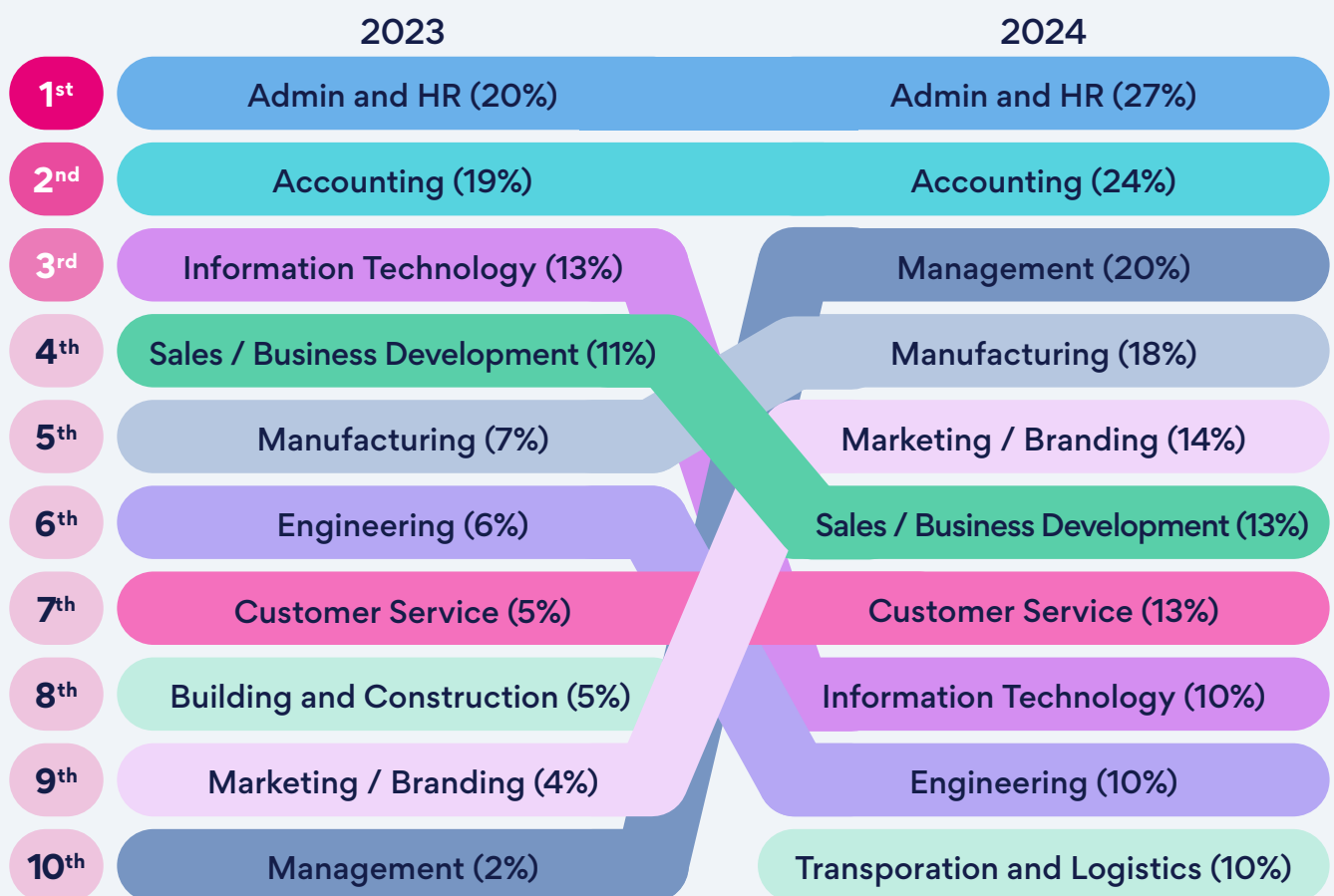
Small Business (Up to 50 employees)				
	2022	2023	2024	Gap Yoy in p.p.
Sample Size	245	220	890	
Employers that hired new employees	14%	16%	37%	+11
Type of New Employees hired:				
Permanent FT employee (s)	9%	11%	23%	+12
Permanent PT employee (s)	1%	8%	19%	+11
Contractual / temporary FT employee (s)	3%	8%	18%	+10
Contractual / temporary PT employee (s)	1%	3%	16%	+13
Medium Business (51-99employees)				
	2022	2023	2024	Gap Yoy in p.p.
Sample Size	74	67	275	
Employers that hired new employees	18%	18%	39%	+11
Type of New Employees hired:				
Permanent FT employee (s)	15%	10%	24%	+14
Permanent PT employee (s)	0%	6%	21%	+15
Contractual / temporary FT employee (s)	5%	2%	18%	+12
Contractual / temporary PT employee (s)	0%	5%	16%	+11
Large Business (100 or more employees)				
	2022	2023	2024	Gap Yoy in p.p.
Sample Size	138	167	1114	
Employers that hired new employees	14%	21%	50%	+29
Type of New Employees hired:				
Permanent FT employee (s)	11%	14%	31%	+17
Permanent PT employee (s)	0%	7%	26%	+19
Contractual / temporary FT employee (s)	3%	9%	30%	+21
Contractual / temporary PT employee (s)	1%	3%	21%	+18

Overview of hiring activity in 2024

For the 39% of companies that reduced their workforce in 2024, the top 5 job functions impacted saw a slight shift compared to 2023. Admin & HR, Accounting, and Manufacturing remained in the top 5, but there were more cuts in Management, and Marketing / Branding roles.

Interestingly, these roles were also among the top hired by companies actively hiring in 2024, supporting the narrative of increased employment and a decline in unemployment in the country.

Top 10 permanent full-time job functions affected by workforce reductions



Permanent employees hiring plans for H1 2025

The Asian Development Bank (ADB) forecasted that Malaysia's GDP growth in 2025 will be at 4.6%. Reflecting this sentiment, nearly half of the businesses surveyed plan to **expand their permanent workforce** in the first half of 2025. The primary reasons for many of them are i) expanding their business (83%), ii) requiring new roles / skillsets (58%), and iii) replacing staff who have resigned / been laid-off / let go (43%).

About 46% of companies surveyed said that while they are not pursuing workforce expansion, they will opt for workforce stability by maintaining or freezing headcount.

Around 5%, primarily large businesses are planning to reduce headcount, citing reasons such as reducing operating costs, restructuring / changing employee functions, and anticipating potential economic challenges ahead.

Jan – Jun 2025 hiring plans for permanent employees

Total



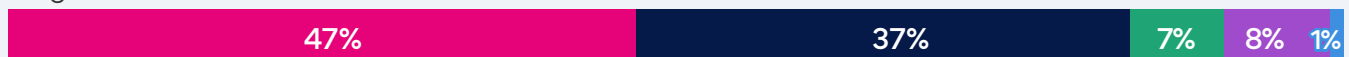
Small (Up to 50)



Medium (51-99)



Large (100 or more)



Notes:

Maintain headcount = Maintain no. of employees and can replace / rehire if employee resigns

Freeze headcount = Maintain no. of employees but cannot replace / rehire if employee resigns

Reduce headcount = Reduce no. of employees by lay-off / retrench employees

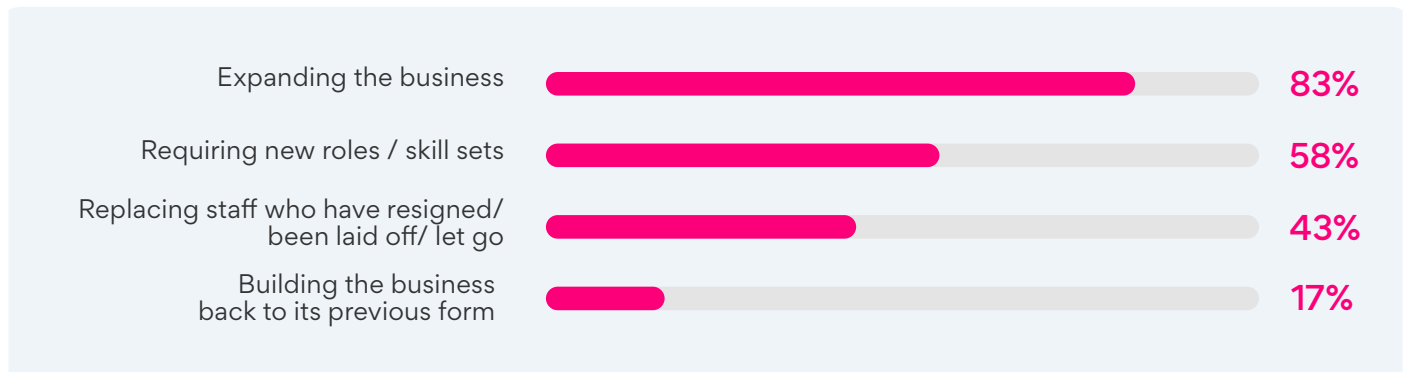
Others = Close / relocate business

Source:

ADB Malaysia GDP forecast: <https://www.adb.org/sites/default/files/publication/957856/mal-ado-april-2024.pdf>

Reasons for increasing or reducing permanent employee headcount

Reasons for increasing headcount in H1 2025



Reasons for reducing headcount in H1 2025



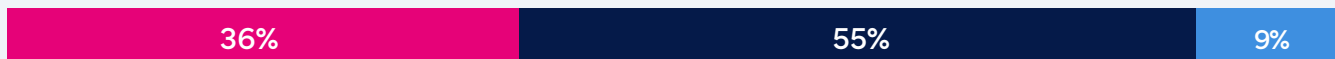
Contract / Temporary employees hiring plans for H1 2025

It looks like the hiring landscape and the types of employment will continue to change in 2025, with 36% of companies looking for more temporary support via contract / temporary employees. This is primarily driven by small and medium-sized businesses, and their key reasons include expanding the business, requiring new roles / skill sets, and looking for a more flexible workforce.

Majority of companies will opt to maintain the number / hours worked. Similar to their plans for permanent employees, more large businesses are planning to reduce contract / temporary employees, citing similar reasons such as reducing operating costs, restructuring / changing employee functions, and anticipating potential economic challenges ahead.

Jan – Jun 2025 hiring plans for contract / temporary employees

Total



Small (Up to 50)



Medium (51-99)



Large (100 or more)

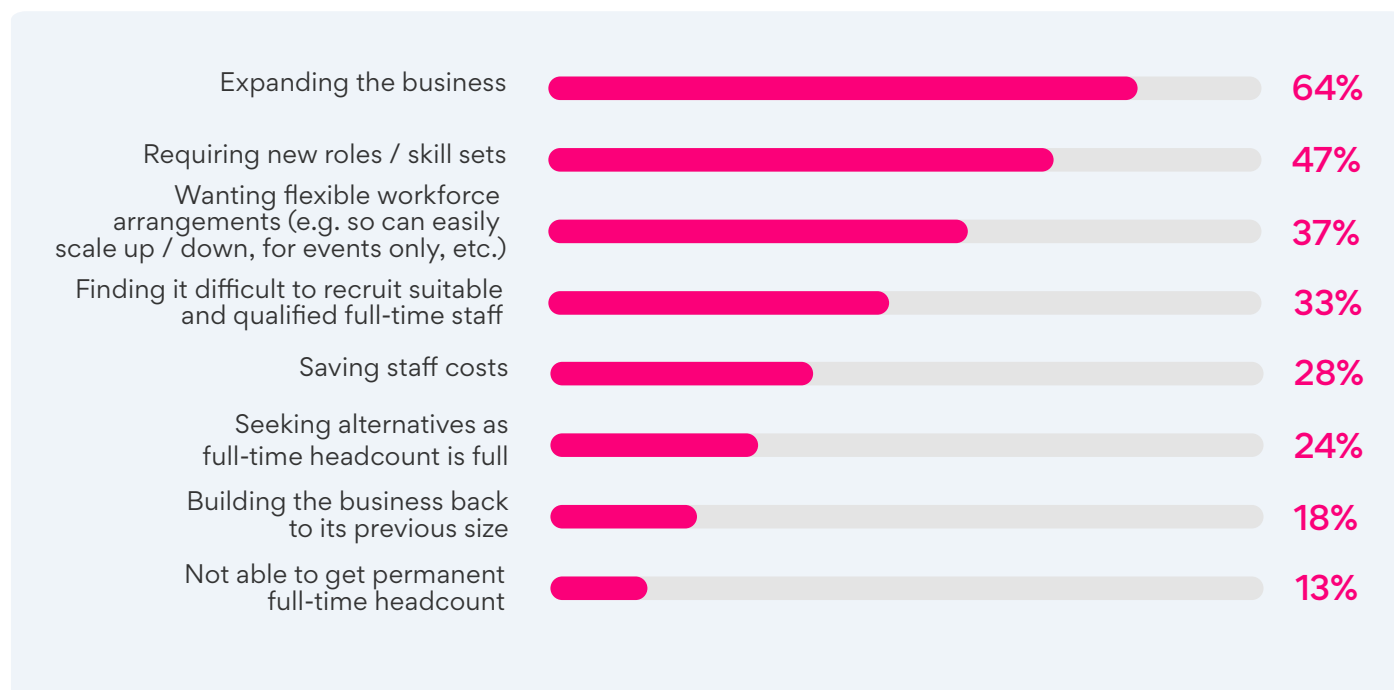


● Increase number / hours worked ● Maintain number / hours worked
● Reduce number / hours worked

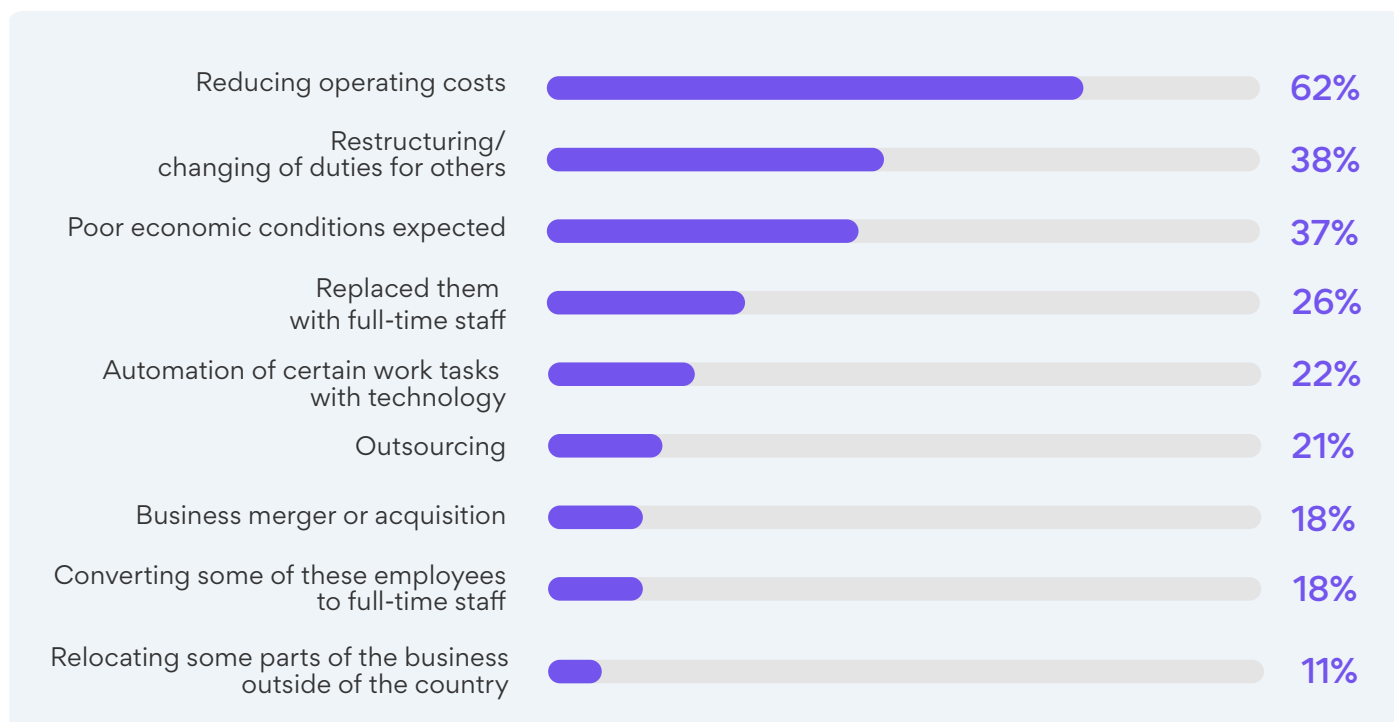
Hiring Trends: Today & Tomorrow

Reasons for increasing or reducing contract / temporary headcount

Reasons for increasing number of staff / hours worked in H1 2025



Reasons for reducing number of staff / hours worked in H1 2025



Section 2

Compensation and Increments



« I have lived on this earth long enough to conclude that the only time the average man is truly happy is during salary day. »

Unknown Author

In a dynamic job market, employee wages and inflation are closely linked. Wages heavily influence employment decisions, while inflation guides compensation strategies and salary increment estimates. Offering competitive compensation is essential for attracting and retaining top talent.

This section of our report examines the following questions:

- 1 What initiatives did businesses take to evaluate and enhance compensation and benefits?
- 2 How many companies awarded performance bonuses, and what were the payouts?
- 3 How many companies provided salary increments, and what were the increments?
- 4 How many staff promotions were granted, and what were the increments?

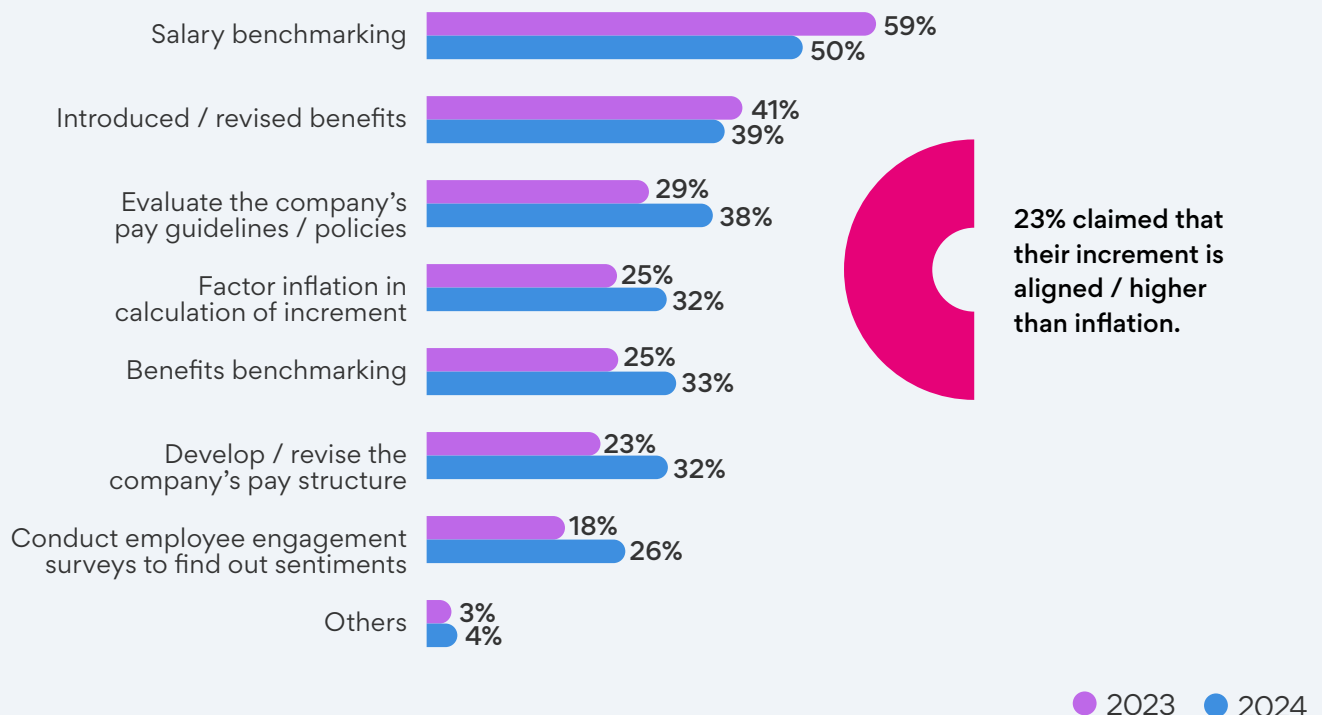


Initiatives to evaluate and enhance compensation and benefits

Employees will be pleased to learn that many businesses stepped up their efforts to evaluate their compensation and benefits! More businesses have taken initiatives to ensure competitive salary packages by evaluating pay guidelines, factoring in inflation, and revising structures.

They are also benchmarking their benefits to ensure that they have **competitive benefits to attract and retain talent**. Encouragingly, more businesses are **listening to employee feedback** by conducting employee engagement surveys to gauge employee sentiment, though there is still significant room for improvement.

Initiatives undertaken by organisations to evaluate and enhance compensation and benefits



Initiatives to evaluate and enhance compensation and benefits

Most of the improvements in compensation and benefits evaluation initiatives come from small businesses, and they are catching up with their medium and larger peers, perhaps likely in a bid to attract top talent. Medium-sized businesses saw improvements in factoring inflation and revising pay structures, while large businesses focused more on benchmarking benefits.

Initiatives undertaken by organisations to evaluate and enhance compensation and benefits by business size

	Total		Small	
	2023	2024	2023	2024
Base	454	2249	220	876
Salary benchmarking	59%	50%	57%	49%
Introduced / revised benefits	41%	39%	40%	39%
Evaluate the company's pay guidelines / policies	29%	38%	26%	38%
Factor inflation in calculation of increment	25%	32%	25%	32%
Benefits benchmarking	25%	33%	23%	31%
Develop / revise the company's pay structure	23%	32%	22%	32%
Conduct employee engagement surveys to find out sentiments	18%	26%	16%	24%
Others	3%	4%	4%	4%

	Medium		Large	
	2023	2024	2023	2024
Base	67	273	167	1100
Salary benchmarking	61%	44%	70%	56%
Introduced / revised benefits	45%	37%	49%	42%
Evaluate the company's pay guidelines / policies	34%	34%	44%	39%
Factor inflation in calculation of increment	24%	31%	29%	32%
Benefits benchmarking	31%	34%	36%	42%
Develop / revise the company's pay structure	24%	33%	29%	31%
Conduct employee engagement surveys to find out sentiments	19%	30%	29%	37%
Others	3%	3%	2%	2%

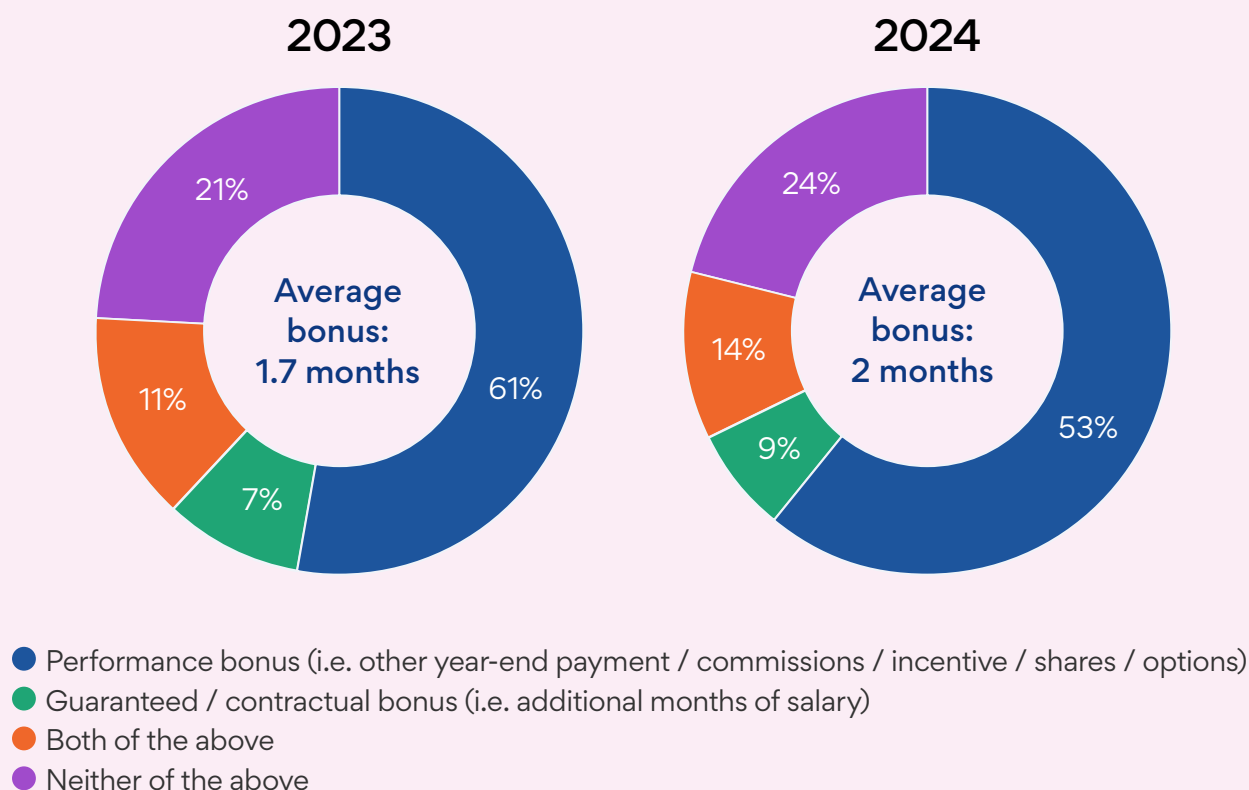
- Increased by 5% or more vs. last year
- Declined by 5% or more vs. last year

Performance bonuses in 2024

2024 was a positive year for employees, as over three-quarters of companies provided **bonuses in various forms**. Performance bonuses remain the most popular type of bonus given. The size of the average bonus payout increased to approximately 2 months' salary, slightly higher than in the previous year.

More companies are also being transparent regarding employee compensation. 56% of businesses shared the method used to calculate bonus payouts with their employees, compared to 46% in the previous year. Increased openness and transparency can help foster positive employer-employee relationships.

Types of bonuses provided and average payout



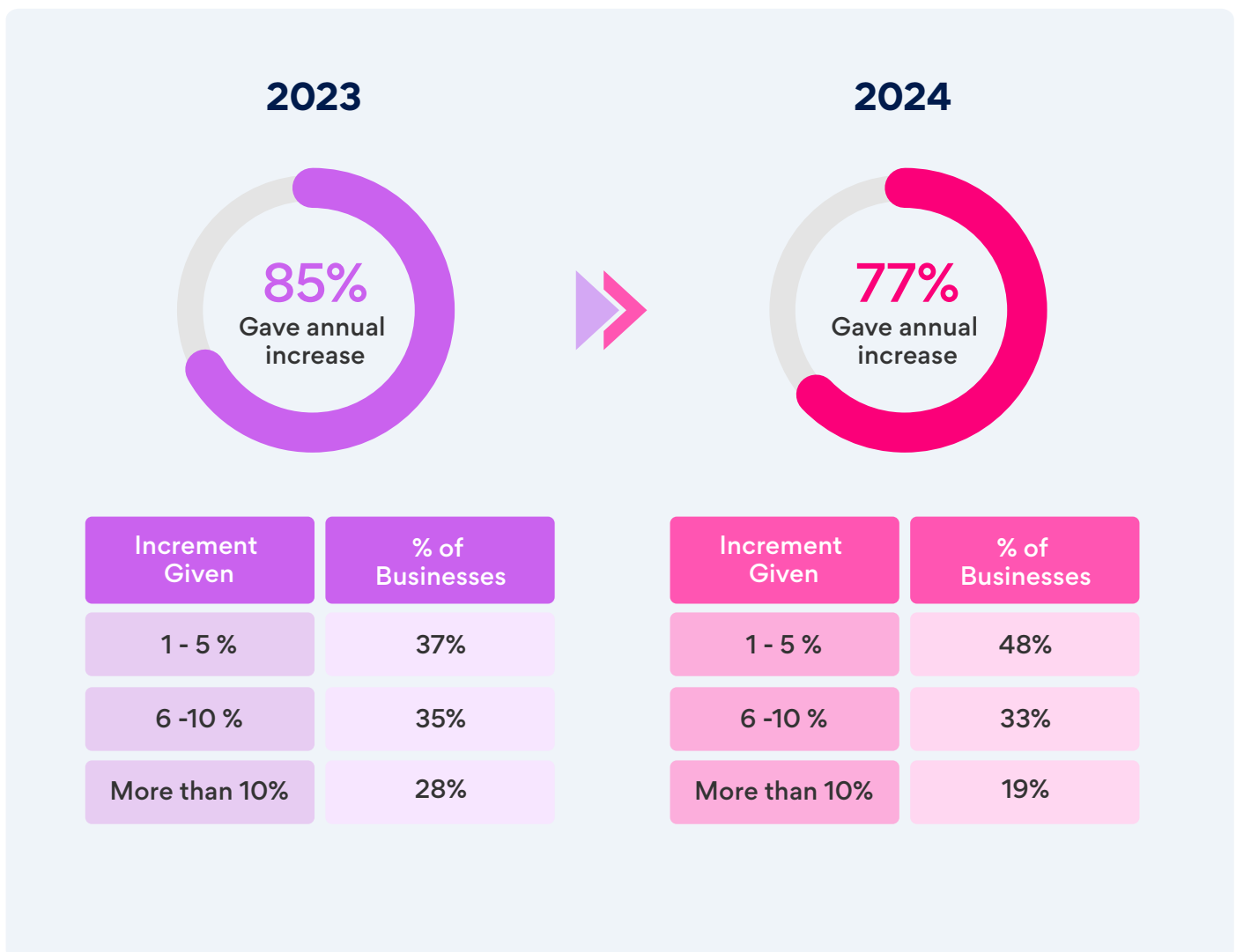
Did you know?

In 2024, 56% of companies shared how bonus payouts were calculated with their employees vs. 46% in 2023

Annual salary increases in 2024

The post-Covid recovery in 2022 was a great year for businesses, leading to more business giving out higher annual increments in 2023. However, the 'normalisation' and challenging business conditions of 2023 may result in annual increments returning to 'normal'. In 2024, the number of companies that gave annual increments to employees declined slightly to 77%, compared to 85% a year ago. Most of the **increments given were between 1% and 5%.**

Encouragingly, these increments have kept up with the national annual inflation rate of 2.49% in 2023. This means that employees continued to see real wage growth, reflecting an improved economic climate and brighter prospects for the workforce.

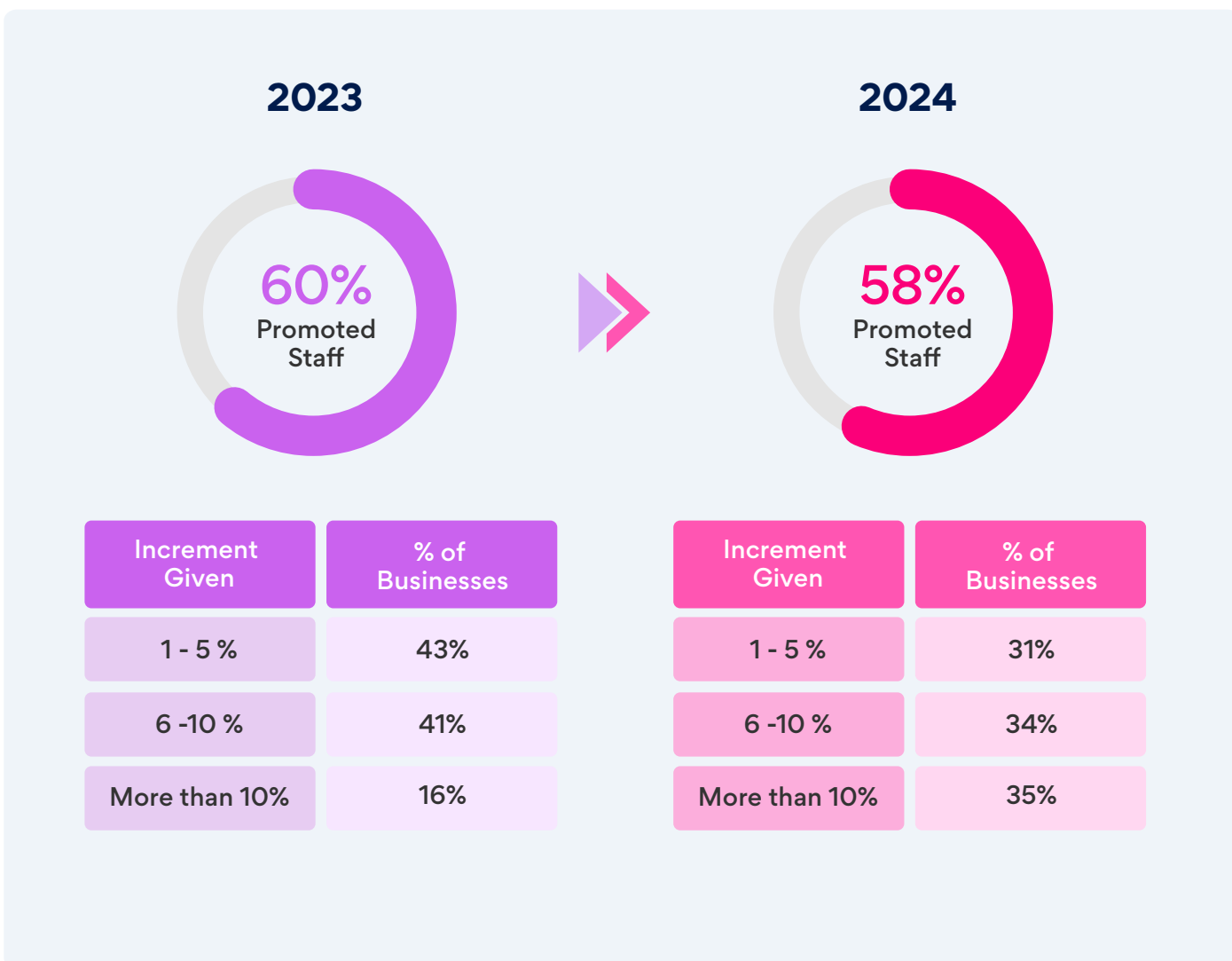


Staff promotion in 2024

Many businesses continue to provide **career advancement opportunities** to their employees, with 58% providing staff promotions, almost the same as the previous year.

However, employees promoted in 2024 were rewarded with a higher compensation, compared to 2023. The number of businesses that gave more than 10% increment nearly doubled.

A higher increment is a positive step towards motivating employees to stay with a company and pursue career growth. In turn, employers can benefit from having a strong workforce to drive business growth.



Section 3

Leave and General Benefits



“Happy employees ensure happy customers.
And happy customers ensure happy
shareholders, in that order.”
-Simon Sinek

Part 3 of the report focuses on leave and general benefits. Simon Sinek stresses that employee satisfaction is crucial for business success, noting that how management treats employees directly influences organisational performance, shaping outcomes for better or worse. Therefore, it is crucial for businesses to continuously evolve their benefits to support employees and keep them motivated.

This section of our report addresses the following questions:

- 1 What types of benefits do companies currently offer?
 - 2 What types of benefits are trending (i.e. benefits that companies offered in 2024 or plan to offer in the next 12 months)?
- ✓ Special leave
 - ✓ Financial benefits
 - ✓ Career development programmes
 - ✓ Accommodation benefits
 - ✓ Work-life balance benefits
 - ✓ Family-friendly benefits
 - ✓ Others

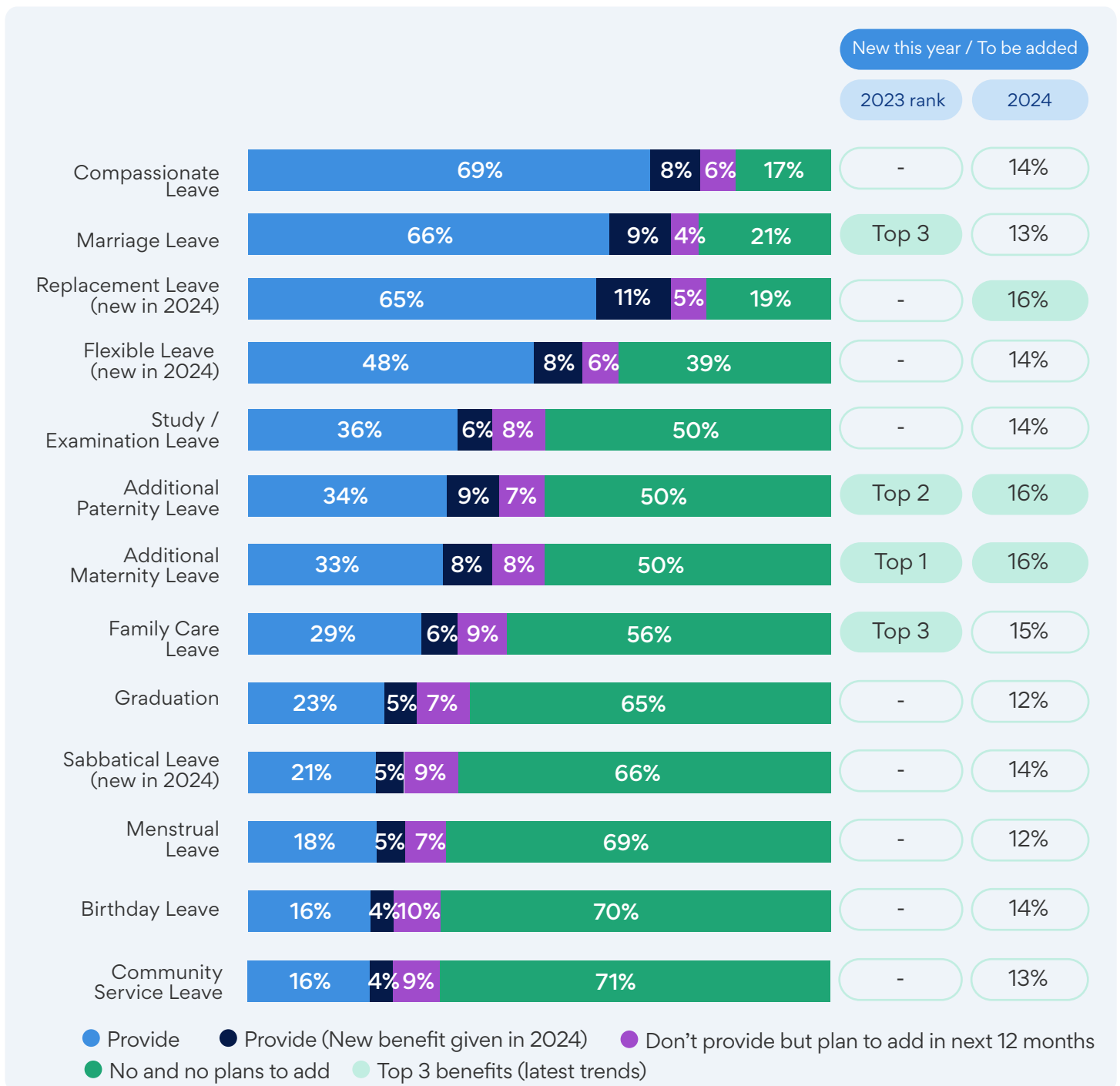


Leave & General Benefits

Current and trending Special Leaves

Compassionate leave, marriage leave, and replacement leave (newly added in our survey) are the top 3 types of special leaves offered by businesses, making them almost essential for attracting talent.

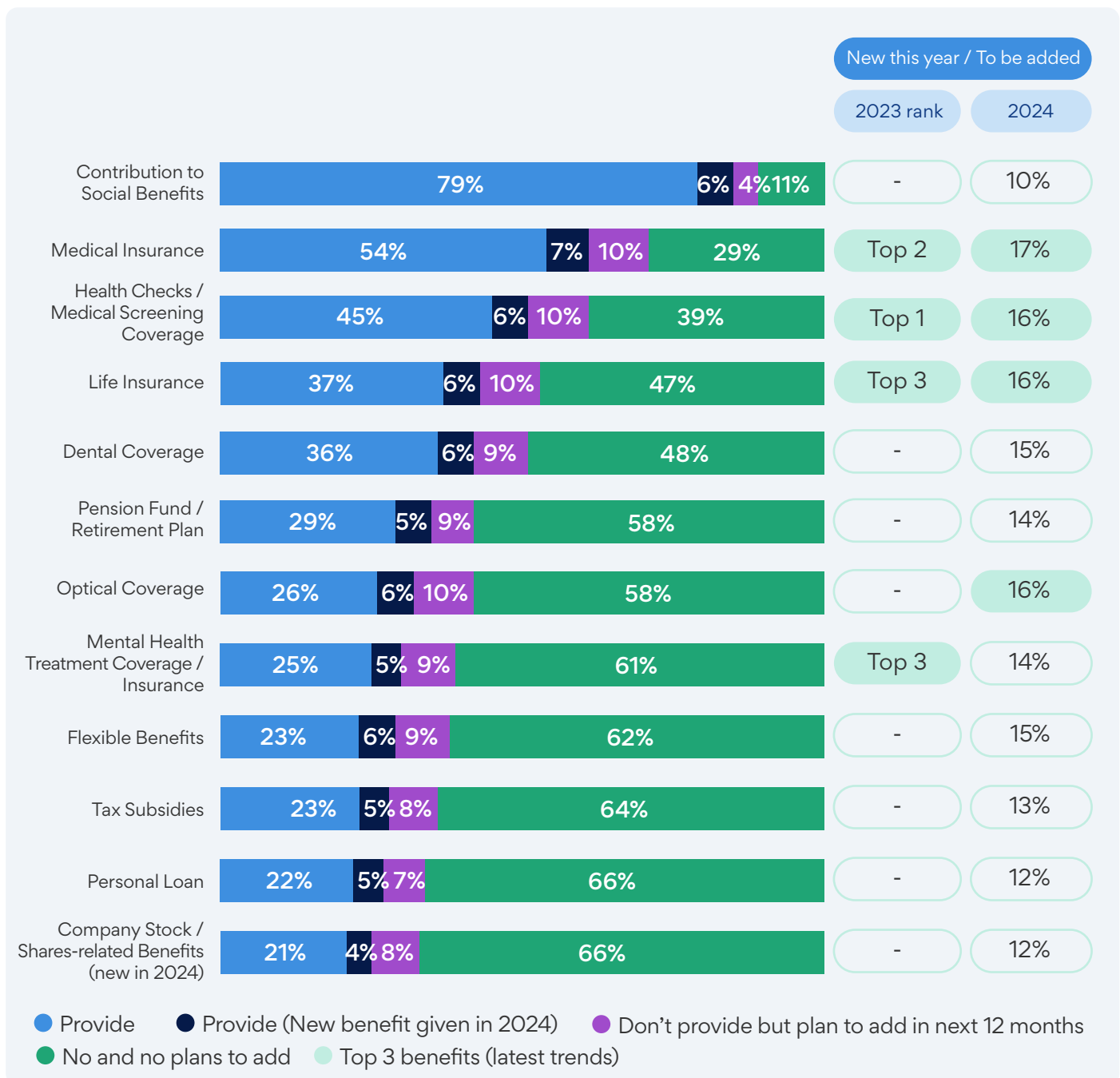
In 2024, the benefits that continued to gain popularity are additional paternity and maternity leaves, alongside replacement leave—each at 16% respectively. This trend may indicate businesses' intent to better **support their employees' family life**.



Leave & General Benefits

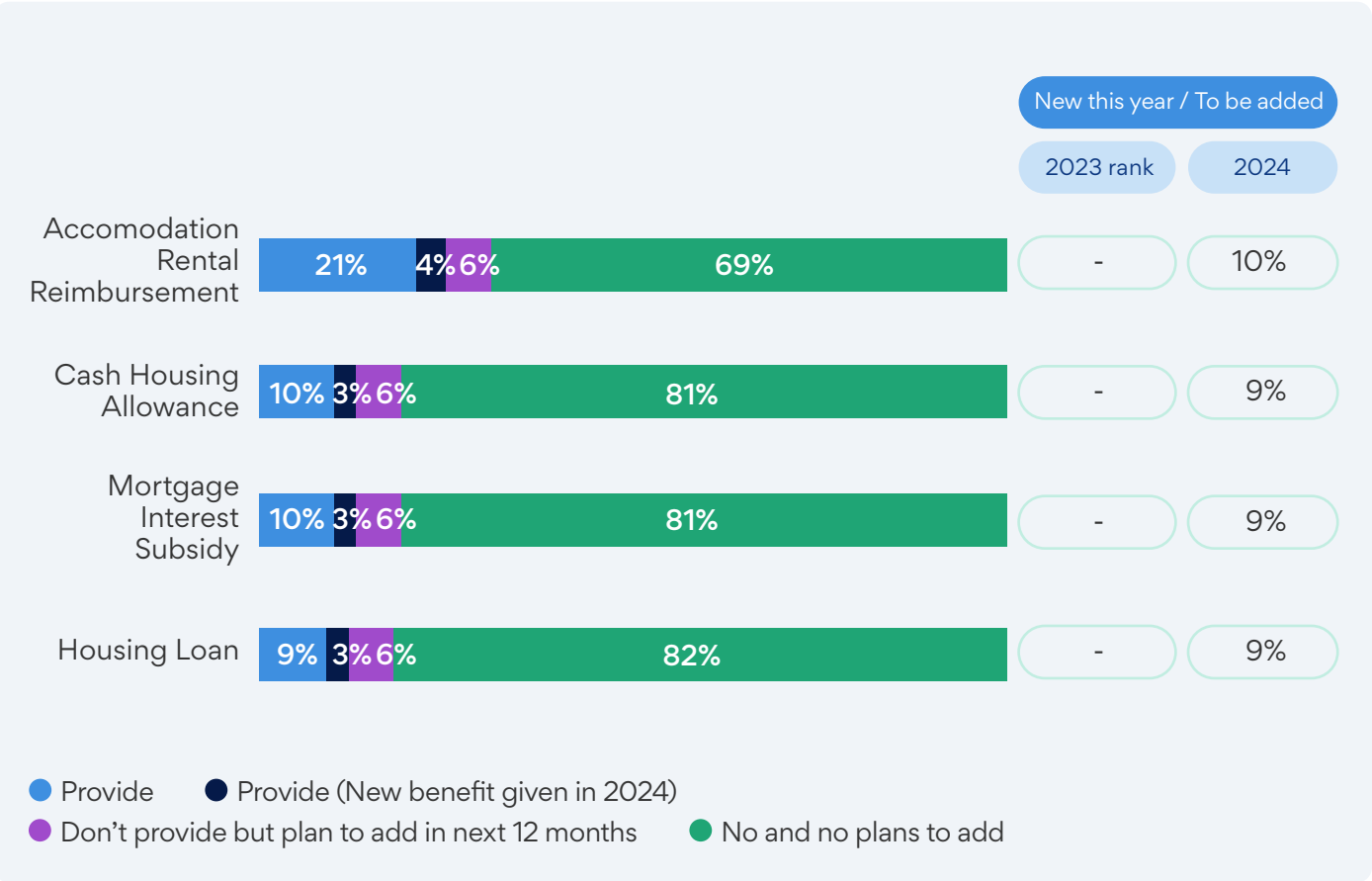
Current and trending Financial Benefits

As it is generally mandatory for businesses in Malaysia to contribute to **social benefits**, it is no surprise that this benefit ranks as the top financial benefit. Following closely are medical insurance and health checks or medical screening coverage. **Safeguarding employee health and protection** trended continuously in 2024, with higher priority placed on health insurance, health checks or medical screening coverage, life insurance, and optical coverage.



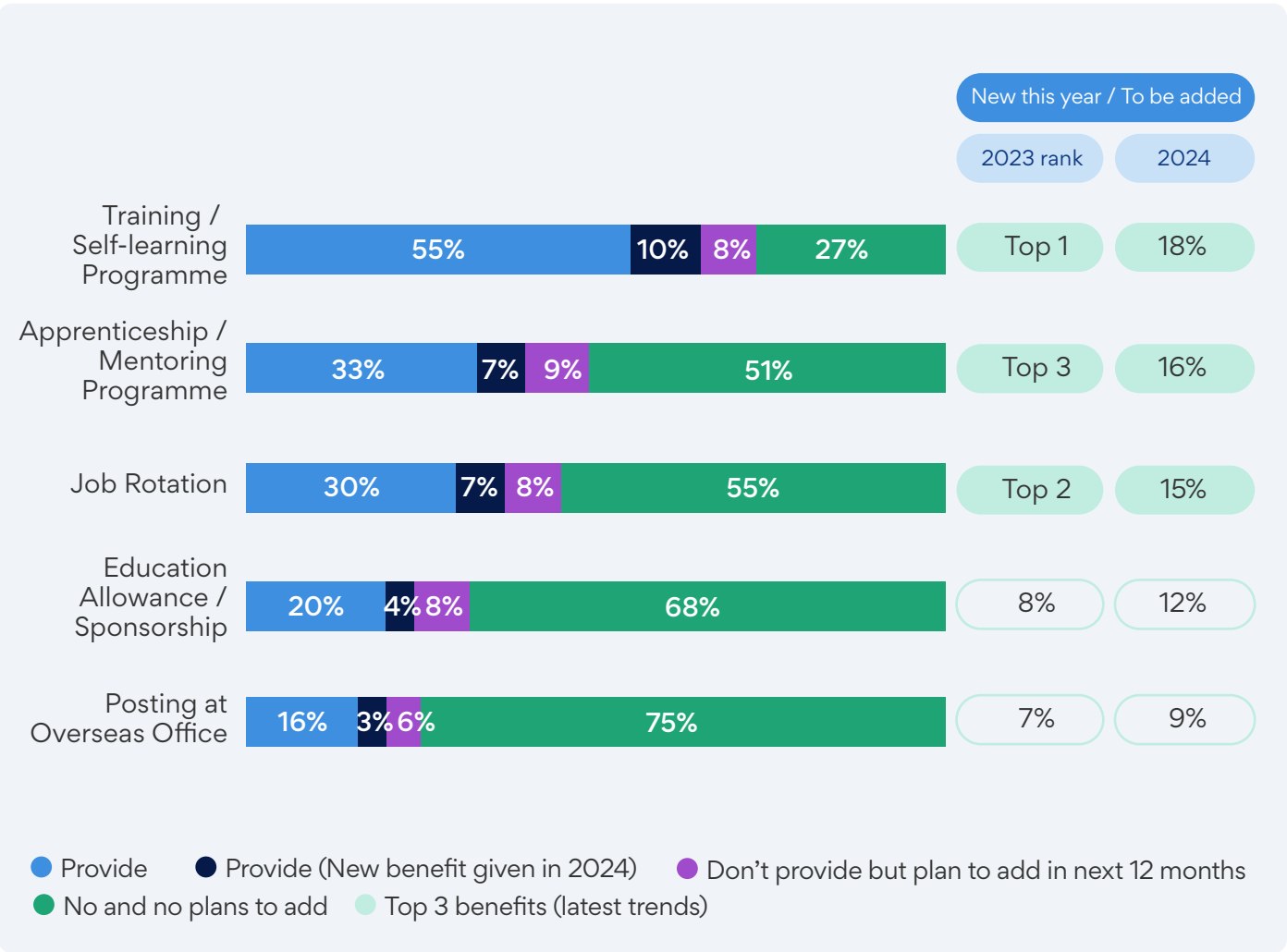
Current and trending Accommodation Benefits

Accommodation benefits are **not commonly extended** by companies, except for those that require foreign labour, such as manufacturing, construction, and so on. For companies that do offer these benefits, the most prevalent and widely provided is **accommodation rental reimbursement**.



Current and trending Career Development Programmes

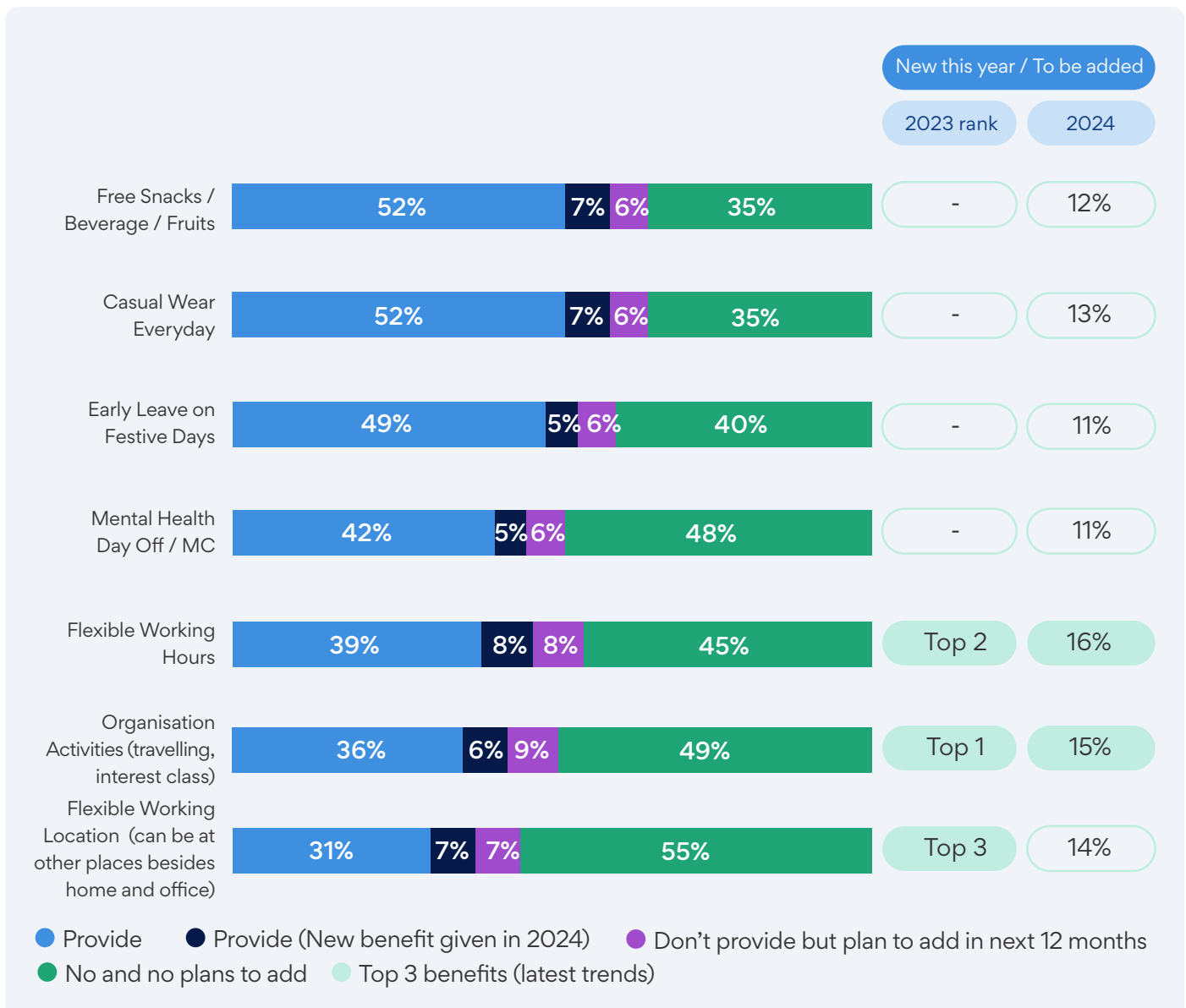
When it comes to upskilling, many companies currently prioritise employee career development by offering training or self-learning programmes, apprenticeship or mentoring programmes, and job rotation. Employees in Malaysia can also look forward to **more of these initiatives**, as they are among the latest trends gaining traction.



Current and trending Work-life Balance Benefits (Part 1)

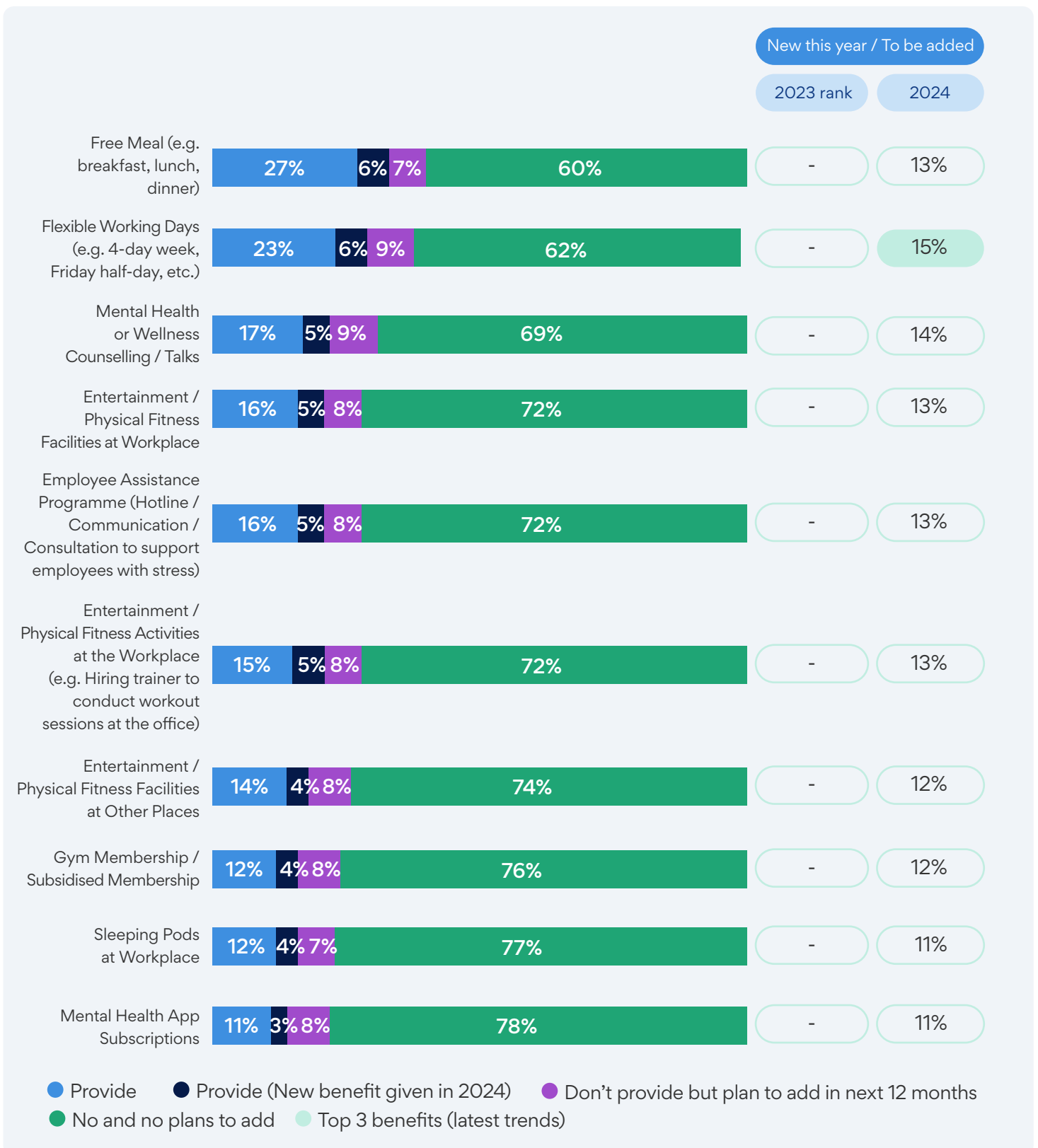
Physical office-related benefits such as free snacks, beverage and fruit, casual wear, and early leave on festive days are the top work-life balance benefits that many companies currently provide. These benefits may also encourage employees to work in the office, a trend that has been gaining traction to improve employee productivity.

At the same time, companies are trying to balance that with flexible benefits that have been in demand by employees post-Covid 19, such as flexible working hours and days, alongside more organisation activities. This reflects a shift away from the traditional 9-to-5, toward 10-to-6 or even shorter hours, with employees compensating by working at other hours.



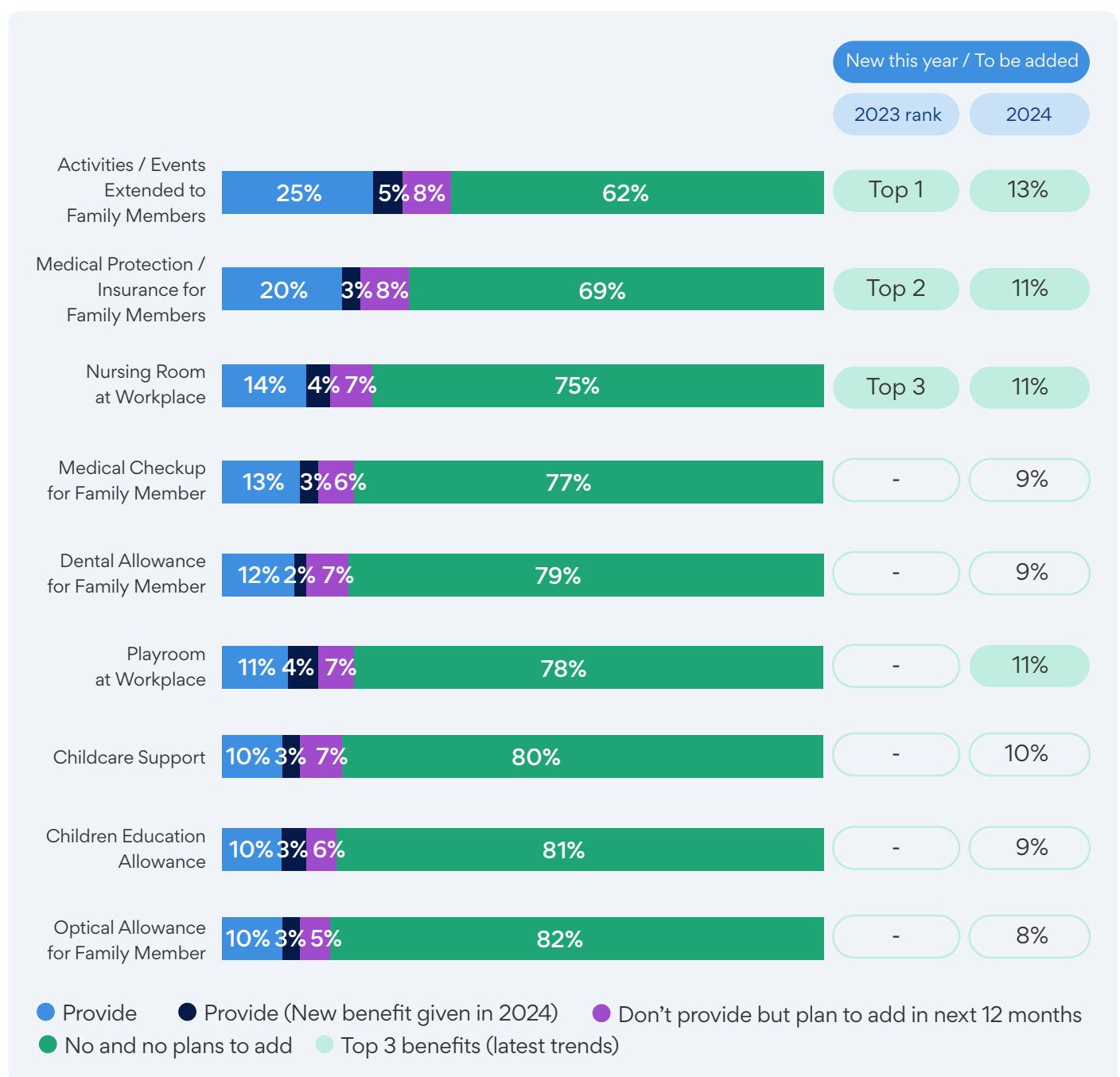
Leave & General Benefits

Current and trending Work-life Balance Benefits (Part 2)



Current and trending Family-Friendly Benefits

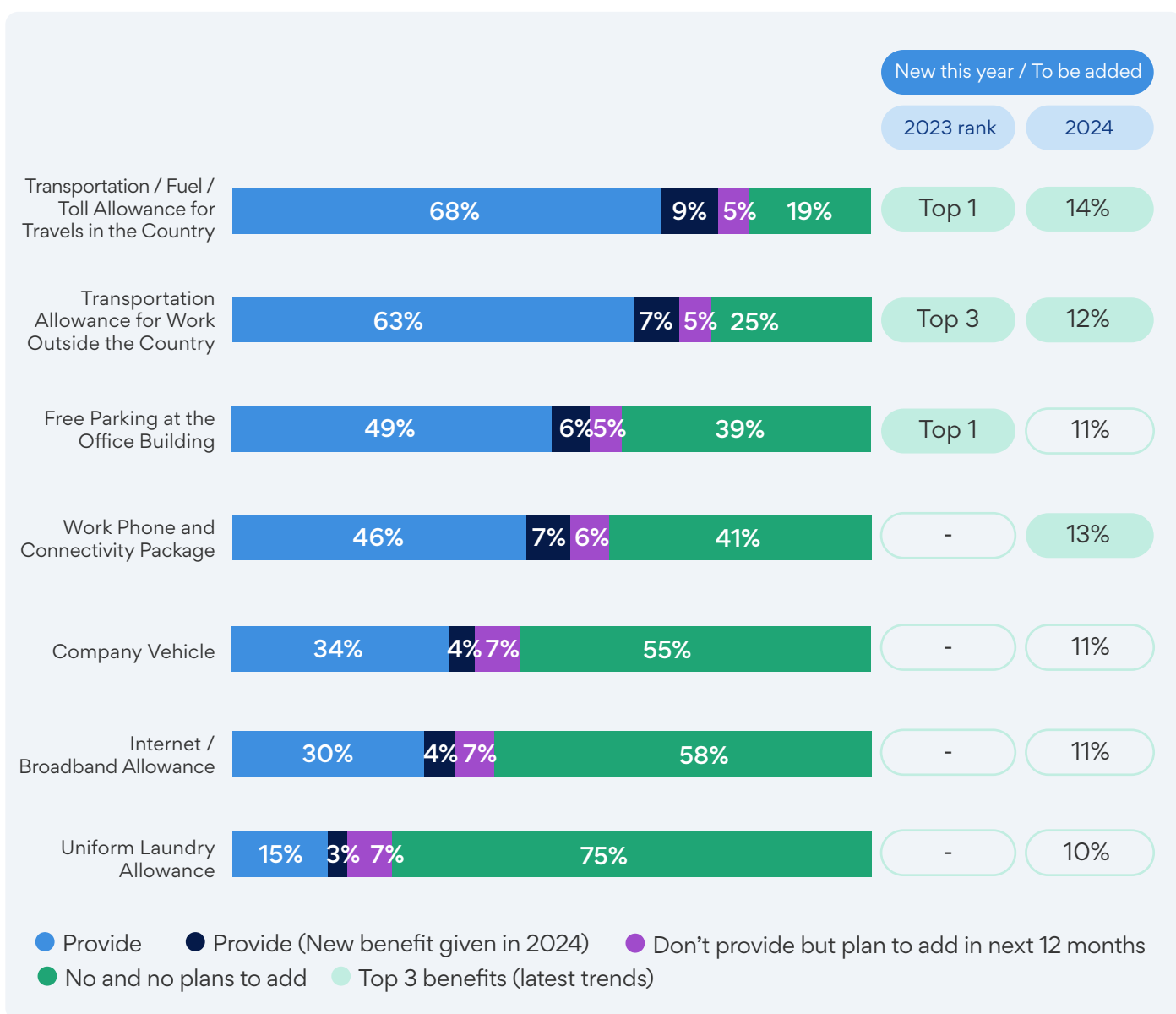
Family-friendly benefits remain as **one of the least offered benefits** in 2024, compared to other categories. For companies that do provide them, the most common offerings include activities or events extended to family members, medical protection or insurance for family members and nursing room in the workplace. These are also the latest trends alongside playroom at the workplace.



Current and trending Other Benefits

Transportation allowances, for both domestic and international travel, are the most commonly offered benefits, followed by free office parking. These benefits will become more important if businesses aim to encourage employees to return to the office to work.

Moving forward, more companies plan to provide these allowances, alongside work phones and packages to enhance connectivity in the workplace.



Section 4

AI in the Hiring Workplace



There was a time after the iPhone App Store launch where people talked about being a mobile company. But no software company says they're a mobile company now because it'd be unthinkable to not have a mobile app. And it'll be unthinkable not to have intelligence integrated into every product and service.



-Sam Altman, co-founder and CEO, Open AI

With AI dominating headlines over the past year, part 4 of our report focuses on AI in the hiring workplace. It examines whether businesses place importance on AI knowledge among candidates, or whether they leverage AI tools to help with the hiring process.

This section of our report looks into the following questions:

- 1 Is it important for candidates to have AI knowledge and how are they assessed?
- 2 Do businesses use AI tools for recruitment and what do they use it for?
- 3 What are the reasons businesses choose to adopt and reject AI tools?

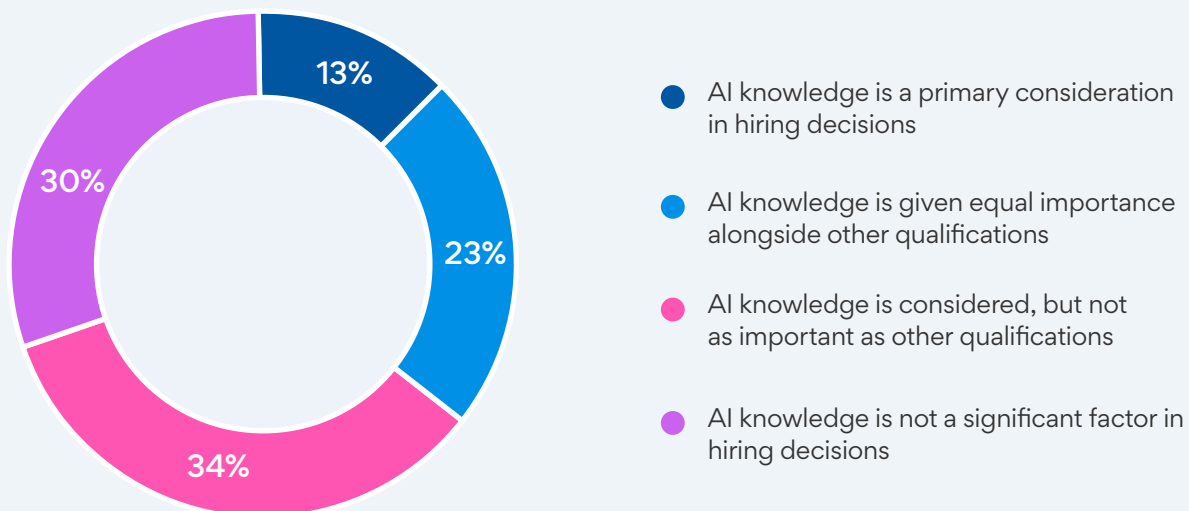


Importance of AI knowledge among candidates

With the rise of AI in recent years, 70% of businesses now consider candidates' AI knowledge when hiring. Of these, 36% view AI knowledge as highly important, considering it either a primary consideration or as important as other qualifications.

These businesses primarily assess AI knowledge via candidate self-introduction, asking technical questions, or reviewing projects or work samples in the candidate's portfolio.

Importance of candidates having AI knowledge

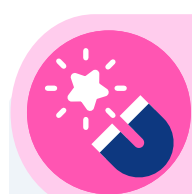


Assessment of AI knowledge

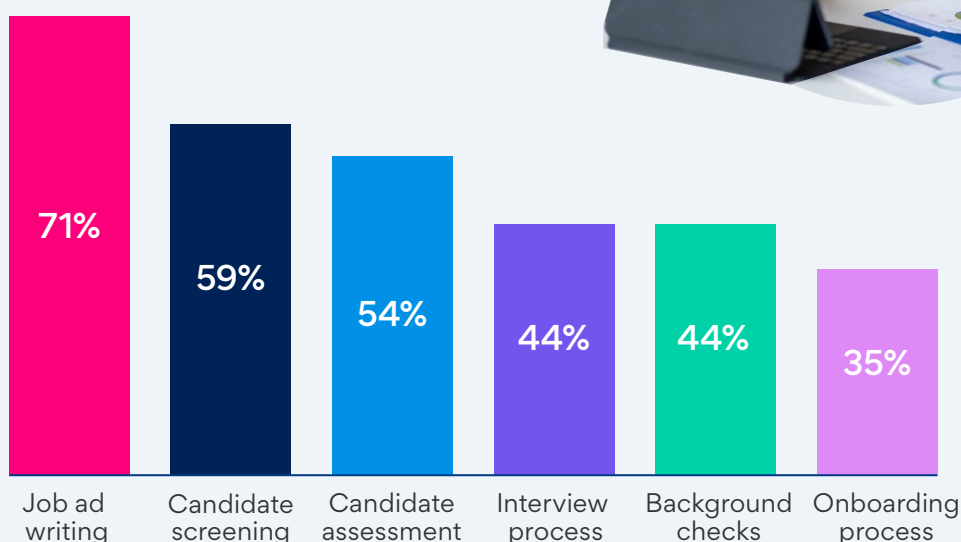


Usage of AI tool for recruitment

Given the importance of AI knowledge, it is no surprise that some companies are also **using AI to recruit suitable candidates**. 26% of companies mentioned using AI tools for recruitment, primarily for tasks like job ad writing, where AI helps with language editing, generating comprehensive qualifications, and making it more professional. More than half of those using AI tools also use it for candidate screening and assessment, which may include generating important questions, conducting personality assessments, creating scenarios, and so on.



26% have adopted AI tools to assist with recruitment



Reasons for using / not using AI tools for recruitment

Businesses used AI tools because they can enhance hiring efficiency and speed, and improve job matching—factors closely related to areas where they apply AI tools.

On the other hand, businesses that do not use AI tools felt that they are unnecessary, lacked the human touch or personalisation, have no knowledge or access to AI, and concerned about increased recruitment cost.

26% adopted AI tools because...



74% did not adopt AI tools because...



Section 5

Diversity, Equity and Inclusion (DEI) at the workplace



If it's truly mission critical, if giving our employees the opportunity to express themselves, to be part of something, to make change, to lead the grassroots movement, then it has to be in the same category as everything else that we do that is mission critical.

-Jodie Wallis, Global Chief Analytics Officer,
Manulife Catalyst Honours, Toronto (7 Oct 2024)

The implementation of DEI in the workplace is still in its infancy in many Asian countries. The final part of this report explores DEI and provides ideas that we hope will encourage greater adoption by companies.

This section addresses the following questions:

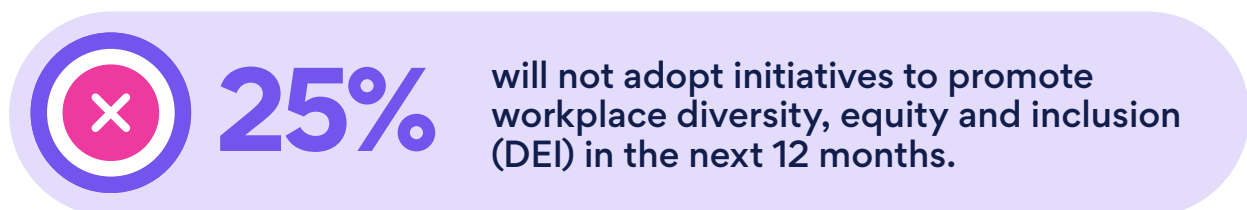
- 1 What percentage of businesses currently adopt DEI measures or initiatives?
- 2 What DEI measures or initiatives are being adopted?
- 3 What percentage are planning to adopt DEI measures or initiatives?
- 4 What preparation work has been done to adopt DEI measures or initiatives?
- 5 What percentage are not adopting DEI measures or initiatives?
- 6 What are the factors contributing to hesitancy or reluctance?
- 7 What types of fair hiring measures do companies employ?



DEI adoption and initiatives

Malaysia is a melting pot of diversity. Thus, it is important to place diversity, equity and inclusion (DEI) at the heart of the workplace to foster an environment **where every voice is heard**. DEI refers to initiatives or policies designed to make people from various backgrounds feel welcomed and supported, allowing them to perform to their fullest potential. Examples of diversity include culture, ethnicity, gender, age, and more.

Currently, only 2 out of 5 companies have adopted DEI initiatives, while 25% of businesses do not plan to implement any DEI initiative in the next 12 months. Encouragingly, 2% plan to implement DEI, while 33% are considering to do so in the next 12 months.



Diversity, Equity and Inclusion (DEI) at the workplace

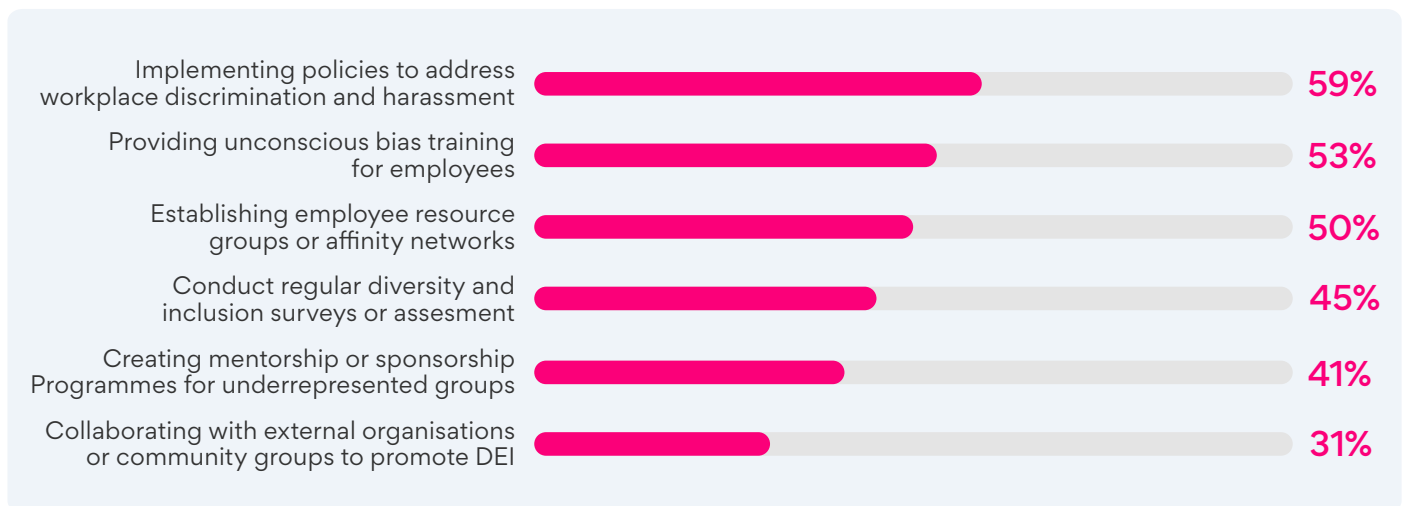
DEI adoption and initiatives

Currently, 40% of businesses that adopted DEI initiatives implemented the following:

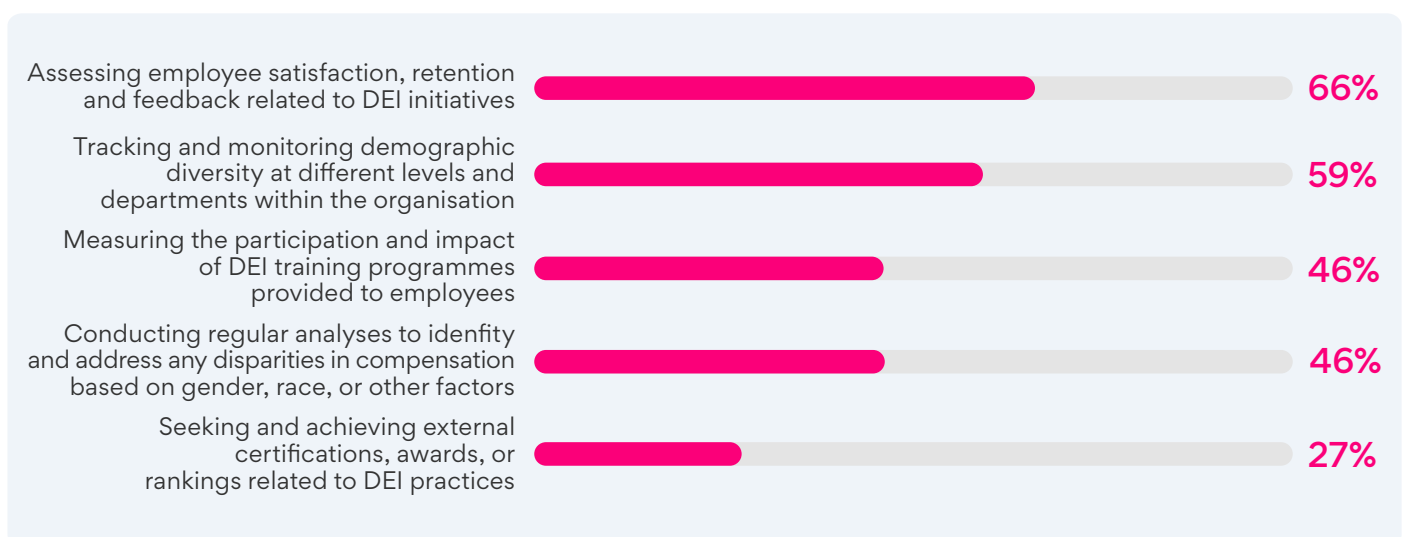
- 1 Policies to address workplace discrimination and harassment
- 2 Unconscious bias training
- 3 Establish employee resource groups or affinity network

The success of these initiatives are measured through employee satisfaction, retention, feedback, and tracking and monitoring demographic diversity across the organisation.

DEI initiatives adopted by organisations



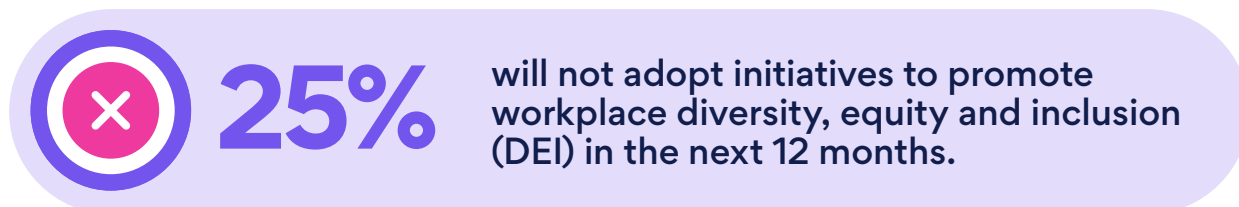
DEI success measures



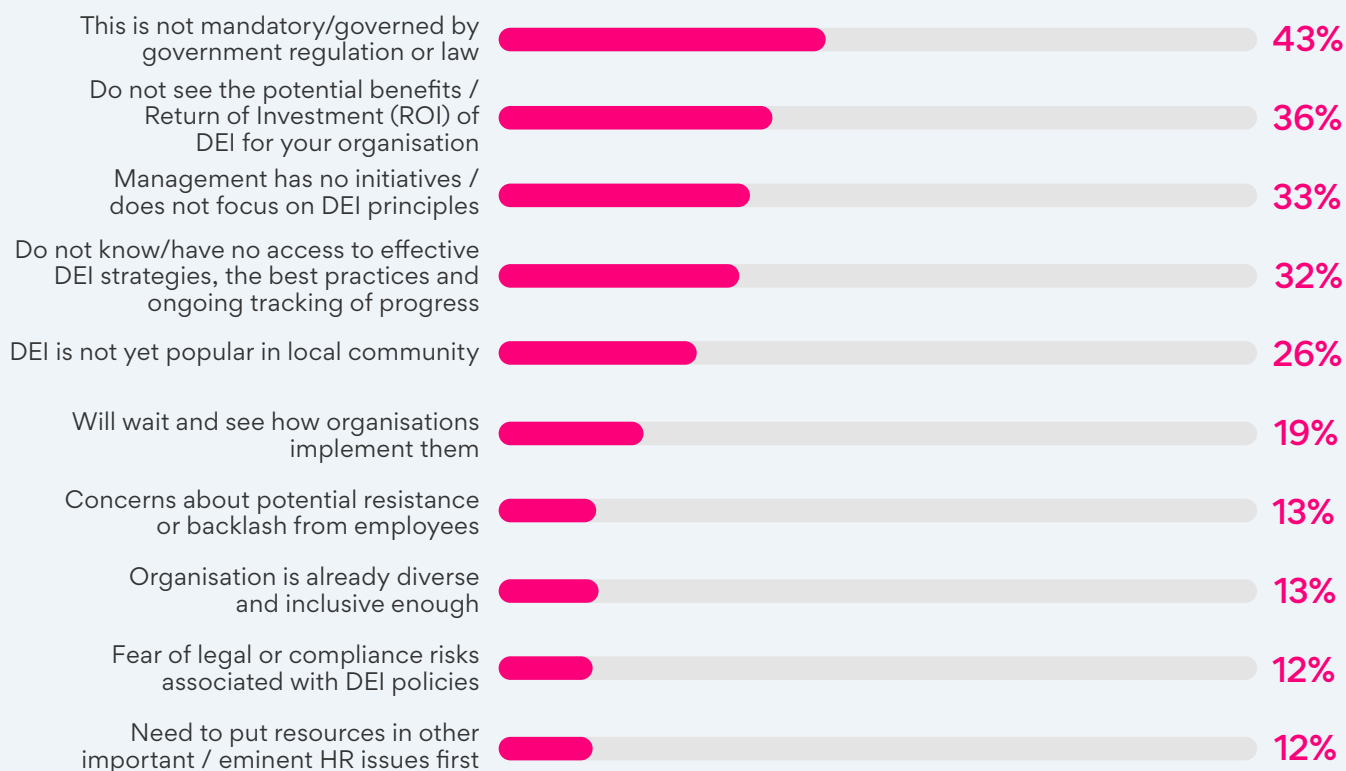
Reasons for not implementing DEI

Adopting DEI initiatives often requires additional costs and resources for businesses. The top reasons that 25% of companies cite for not planning to implement DEI measures include:

- 1 Not mandatory nor governed by government regulation or law.
- 2 Do not see the potential benefits or Return on Investment (ROI).
- 3 No initiative or focus from the management.
- 4 Do not know or have no access to effective DEI strategies, best practices, and ongoing process tracking.



Hesitancy / reluctance factors



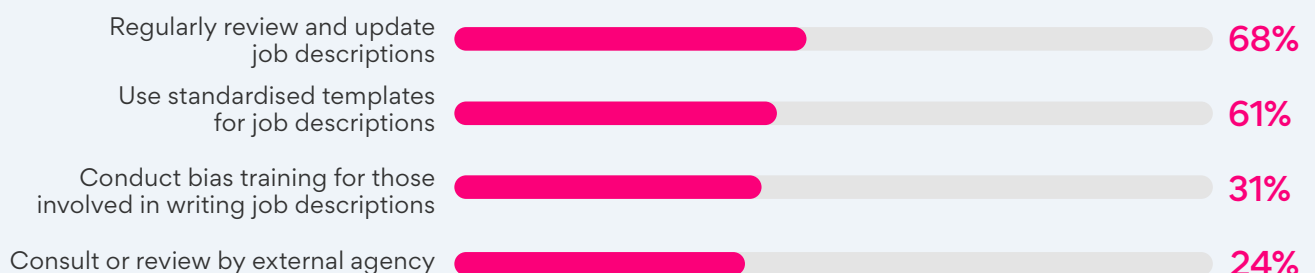
Fair hiring measures or initiatives

When it comes to fair hiring initiatives, the most common measures companies have implemented include clear diversity and inclusion goals for the hiring process, having diverse hiring panels to ensure a range of perspectives (e.g. HR partners, senior managers, employees from other departments), and conducting blind resume screenings to eliminate bias in the initial stages by removing criteria such as names, gender, age, and so on. Efforts to ensure job descriptions are free from bias includes regularly reviewing and updating job descriptions, and using standardised templates across roles.

Fair hiring measures / initiatives employed by organisations



Efforts to ensure job descriptions are inclusive and free from bias



Conclusions and Recommendations



Conclusion & Recommendations

Key Insights: Malaysia

Strong 2024 and optimistic 2025 job market outlook

In 2024, Malaysia's job market remained resilient despite global and national economic uncertainties, with 74% of respondents indicating the job marketplace as active. Employment grew by over 200,000 jobs, and 94% of companies hired, primarily for permanent, full-time roles. Part-time and temporary positions also saw notable growth, especially within small businesses. Despite some companies reducing their workforce, the overall unemployment rate remained low, dropping to 3.2%, indicating that those affected were able to find new employment quickly.

Confidence for 2025 remains high, with 39% of businesses expecting growth and 44% anticipating stability in the first half of the year. Some businesses plan to expand their permanent workforce, though some, especially large companies, are considering headcount freezes or reductions due to cost concerns.

Stronger compensation, with a return to 'normal' compensation

In 2024, many Malaysian businesses made efforts to improve compensation and benefits to attract and retain talent. Companies, particularly small businesses, reevaluated salary packages, adjusted for inflation, and benchmarked benefits, showing a commitment to competitive compensation. More than 75% of companies provided bonuses, with average payouts slightly higher than the previous year. Increased transparency in bonus calculations promoted positive employer-employee relationships.

While 77% of companies offered annual increments (mostly 1% to 5%), slightly lower than the previous year. However, these adjustments matched the national inflation rate, ensuring real wage growth for employees. Promotions remained stable at 58%, but those promoted saw higher pay increases, with the number of companies offering over 10% increments nearly doubling. These measures reflect a positive employment climate, encouraging career growth and loyalty among employees.



Conclusion & Recommendations

Key Insights: Malaysia

More benefits continuing trends from 2024

In 2024, Malaysian businesses increasingly provide special leaves such as compassionate, marriage, and replacement leave, making them nearly standard offerings to attract talent. Paternity and maternity leave are also on the rise, reflecting a growing commitment to supporting families. Mandatory social benefits, medical insurance, and health screenings top the list of financial benefits, with a focus on employee health and protection. Accommodation benefits are typically limited to industries reliant on foreign labour, like manufacturing and construction.

Companies are prioritising upskilling through training, self-learning programmes, and job rotations. In-office perks such as free snacks, casual dress codes, and early leave on festive days support work-life balance, complement the flexible work arrangements introduced post-Covid 19. Traditional office hours are shifting, with more employees working varied hours instead of the classic 9-to-6. Although still rare, family-friendly benefits include events for family members, family health insurance, and nursing rooms. Transportation allowances and free parking are common, and are considered essential for encouraging office attendance. Moving forward, companies plan to enhance connectivity through work phone packages, signaling a commitment to supporting both work flexibility and in-office productivity.



Conclusion & Recommendations

Key Insights: Malaysia

AI knowledge is gaining importance in hiring

With the rise of AI, 70% of businesses now consider candidates' AI knowledge during hiring, with 36% viewing it as a primary or essential qualification. Companies assess this knowledge through self-introductions, technical questions, and portfolio reviews. Additionally, 26% of businesses are using AI in recruitment processes, particularly for job ad writing, candidate screening, and assessments, which enhances efficiency and job matching. However, some businesses avoid AI tools due to a perceived lack of personalisation, limited access or knowledge, and concerns about costs.

Two out of five companies practiced DEI amid challenges

In Malaysia's diverse workforce, DEI (Diversity, Equity, and Inclusion) is key to a thriving workplace. Currently, only 40% of companies have implemented DEI, but 35% are planning to or may consider adopting DEI measures in 2025. These 40% of companies have adopted top DEI initiatives such as anti-discrimination policies, unconscious bias training, and employee resource groups, measuring success through employee satisfaction and diversity metrics. However, 25% of businesses aren't planning DEI initiatives, citing a lack of legal mandates, unclear ROI, and limited management focus. Common fair hiring practices include setting diversity goals, using diverse hiring panels, and blind resume screening.



Conclusion & Recommendations

Recommendations

As of the writing of this report, Malaysia's Budget 2025 has been recently unveiled. Businesses and hirers are encouraged to review its details when planning for 2025.



1. Seize the opportunity to recruit top talent in 2025

Given the strong confidence in the job market in H1, businesses should continue seeking talent to bolster their workforce. Businesses that were previously focused on hiring only full-time employees might consider exploring part-time, contractual, or temporary employees. As highlighted in this report, a flexible workforce offers numerous benefits.



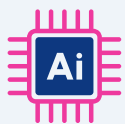
2. Offer competitive increments to motivate employees

SEEK recently unveiled Talent Attraction Lab, a separate study that focuses on employee motivations across industries and demographics. The study reveals that compensation is the top driver for attracting and retaining employees. It is critical for businesses to factor in inflation, industry benchmarks, and company performance to determine competitive salary increments.



3. Enhance benefits packages by introducing popular offerings

Employee benefits continue to evolve, and while many remained the same as last year, new and emerging options are gaining popularity. To attract and retain top talent, consider offering the most sought-after benefits highlighted in the leave and general benefits section of this report.



4. Prioritise talent with AI knowledge in the right industries

Insights from SEEK's 'Decoding Global Talent 2024: Shifting work preferences in the Age of AI' reveal that the adoption of AI amongst talent is substantial, with 44% of talent already using AI tools monthly and it rightly matches business expectations. Hence, hirers should look for talent with AI knowledge and equip themselves with AI tools for recruitment. Businesses can also leverage various initiatives under Malaysia's National Artificial Intelligence (AI) Roadmap 2021-2025 and Human Resource Development Corporation (HRD Corp) to improve their workforce.



5. Begin implementing Diversity, Equity, and Inclusion (DEI) policies

Malaysia's diverse cultural landscape makes it crucial for companies to provide safe environments and equal opportunities for all. There are many advantages to having a strong DEI policy, such as fostering a strong diverse workforce, building values that resonate with customers, and enhancing your company's reputation. Additionally, Malaysia's Budget 2025 includes tax incentives for measures like additional paid leave for caring for children or ill / disable family members or hiring women returning to the workforce.

Source:

Talent Attraction Lab: <https://my.employer.seek.com/market-insights/talent-attraction-lab>

Decoding Global Talent 2024: Shifting work preferences in the age of AI:
<https://my.employer.seek.com/market-insights/decoding-global-talent-ai-2024>



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